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BITCOIN AND CRYPTOCURRENCY TRADING FOR BEGINNERS



HOW TO MAKE MONEY INVESTING IN CRYPTO
EXCHANGES, USING TECHNICAL ANALYSIS, READING
TRENDS AND INDICATORS

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Introduction

Are you exploring the world of cryptocurrencies for the first time? Do you want to become a crypto trader? This guide will lay the basis for you to distinguish how to hurdle into the cryptocurrency world. Learn to differentiate the cryptocurrencies that assist as a means of compensation from the cryptocurrencies that could be integrated into a project's contribution. Avoid beginner mistakes that will cause you to lose all or part of your tokens. Recognize the dangers of trading cryptocurrencies. Get acquainted with cryptocurrency handovers among wallets made by means of public wallet keys. This book will reply to all your questions. It will tell you when it was invented, how it works, and why it's going to be so important in the future. In the end, you will be able to answer the question, "What are cryptocurrencies?", explain the steps to follow to move from euros in a bank account to storage in a private wallet by purchasing altcoins on an exchange platform. You will also find the answers to the main questions that new crypto traders ask themselves. The world of cryptocurrencies moves fast, so there is no time to waste. Let us begin!

When I hear a new term, I look up its definition in my dictionary. Cryptocurrency is a new word for most people, so let's write a crypto definition.

Definition of Cryptocurrency

A cryptocurrency is a form of digital money that is also known as virtual currency or cryptocurrency. That means no actual coins or bills exist; all is done online. You can send a cryptocurrency to someone over the Internet without using an intermediary such as a bank. Bitcoin and Ether are the most well-known cryptocurrencies, but new ones are being developed all the time.

Cryptocurrencies may be used to make immediate purchases and stop transaction fees. Some people can purchase cryptocurrency as an investment in the hopes of seeing its value rise.

Cryptocurrency CFD trading

CFD trading is derivative, allowing you to speculate on cryptocurrency price movements without owning the underlying cryptocurrencies. You can go long (buy) if you think the price of a cryptocurrency will go up, or go short (sell) if you think it will go down.

CFDs are leveraged goods, which means that to obtain maximum exposure to the underlying market, you just need to make a small initial deposit, known as margin. Your profits and losses are calculated based on your position's full size, so leverage magnifies both your gains and losses.

Buy and sell cryptocurrencies through a trading market.

By buying cryptocurrencies through a trading market, you acquire the cryptocurrencies. You will have to create a trading market account, contribute the asset's total value to open a position and store the cryptocurrency tokens in your portfolio until you are ready to sell.

Trading markets have a steep learning curve, as one must become familiar with the necessary technology and learn to analyze the data. Many trading markets limit the amount of deposit, and the accounts can be costly to maintain.

Origin of Cryptocurrencies

Cryptocurrency arose in the 1980s as a result of the cypherpunk movement. With hidden keys that could only be deciphered by those who knew how to decode them, this art defended the widespread use of writing.

David Chaun founded Digicash a decade later to establish a centralized electronic money system to allow for more safe and anonymous transactions. Adam Black proposed Hashcash, a way to control spam and denial-of-service attacks, at the same time.

Although Bitcoin, the first completely decentralized cryptocurrency, did not appear until 2009.

Types of Cryptocurrencies

While there are hundreds of cryptocurrencies available today, traders' interest seems to focus on about half a dozen cryptocurrencies. The list of the most popular cryptocurrencies includes Bitcoin, which is considered the original cryptocurrency. Due to a "hard fork" on its original blockchain,

Bitcoin branched out into two additional new digital currencies: Bitcoin Cash and Bitcoin Cash ABC. Other popular cryptocurrencies are frequently traded on cryptocurrency exchange markets and online CFD trading platforms, such as Plus500, including Ethereum, Litecoin, and Ripple XRP.

There are many "forms" of common cryptocurrencies. Bitcoin, Bitcoin Cash (BCH), Bitcoin Cash ABC, and Litecoin are all intended to be fiat currencies. Ethereum, on the other hand, is only meant to be spent on Ethereum's smart contract network, which can also be used to create decentralized apps (Dapps). Ethereum, therefore, is considered more of a "utility token" than a coin. On the contrary, Ripple XRP is used as a blockchain-based payment platform.

Part 1: Crypto World

Chapter 1: What is Cryptocurrency?

Let us start by saying that cryptocurrencies are virtual currencies that allow for financial transactions thanks to complex cryptography that allows for the secure and anonymous generation, storage, and trading of a specific digital token.

Initially, cryptocurrencies were not born to be considered currencies, but they have become so over time.

Satoshi Nakamoto, the one who considers himself the inventor of Bitcoins, simply wanted to develop a peer-to-peer electronic cash system for sharing files.

Nakamoto, unlike all his predecessors, managed to prove that it was possible to have a cryptocurrency without the need for a central authority.

In practice, thanks to the peer-to-peer system, when the transaction has taken place, it will have to be confirmed by the miners. Only miners can confirm transactions. As long as a transaction is not confirmed, it can be forged. Instead, when it is confirmed, the transaction is no longer editable and enters the historical transactions, the so-called blockchain.

When a transaction has been confirmed by a miner, each node must add it to its database.

For this work, miners are rewarded with a cryptocurrency token. This method allows the system to operate securely and consistently over time.

How does a Wallet Work?

It is quite simple. A Wallet/digital wallet creates and stores the private key (password) associated with a public key (address of the wallet/wallet).

Private keys are basically kept secret and never revealed as they allow you to spend money.

If the private key is lost, you can no longer access the wallet to make transactions or withdraw your coins.

This has been specified before, but I tend to want to voluntarily emphasize and reiterate fundamental concepts.

When we initiate a transaction with any cryptocurrency, all we do is subscribe ownership of the coins to the recipient's address (Public Key).

In a transaction, the software creates a digital signature by processing the transaction using the private key. This makes it extremely secure, as the only way to generate a valid signature for a specific transaction is to use the private key associated with it.

Each Wallet of any cryptocurrency is identified by a specific unique address (public key) consisting of 26 to 35 digits similar to an Iban.

The moment we request a payment, all we have to do is provide this address (public key) to the person who has to make the transaction on our account.

Advantages and Disadvantages of Cryptocurrencies

Advantages of cryptocurrencies:

- Since they are digital currencies and not "paper" money, they cannot be counterfeited.
- The cost of transactions, if compared to that of physical and real coins, is much lower.
- Since they are not subject to controls, every transaction and investment takes place in the complete protection of personal privacy.
- Their number in circulation is limited, not infinite; therefore, their value is guaranteed.
- Since it is a digital currency, you can send and receive money anywhere in the world without worrying about limitations for traditional money transfer, such as borders or holidays.
- Over time, more and more goods and services can be purchased all over the world using virtual currency, consolidating over time as an ordinary alternative payment method to the classic one.

Disadvantages of Cryptocurrencies:

- The volatility of cryptocurrencies is a well-known and incontrovertible factor. These virtual currencies are subject to sudden rises or falls, from day to night. Therefore, the risk of losing a lot of

money in the short term could be high if you adopt a highly speculative strategy in the short term.

- To date, compared to traditional markets, there is still little information regarding the future of cryptocurrencies, and it is still a rather nebulous world, so to speak. There is no single dictate regarding their development and consolidation plans. Every single digital currency is a story in itself, and as a result, this scarcity of forecasting can create a strong and justified resistance from some investors to make transactions in this virtual market.
- Despite the significant progress made to improve security, to date, hacker attacks remain frequent. If an investor does not take a whole series of precautions, he could easily be attacked and "robbed" of all his cryptocurrencies. For this reason, before being able to operate in the sector, it is necessary to raise your security level a lot.

The Step-by-Step Guide to Protect Your Cryptocurrencies from Hacker Attacks

If someone were to pull a bank robbery, your capital would still be safe as it is protected by the bank itself, right?

In turn, the financial institution has protected itself from any risks by taking out strict insurance policies.

The same thing happens if your credit card is cloned during a normal transaction. After having made a report to the competent authority, the bank will normally proceed to the regular refund of the amount unduly stolen.

But if I buy cryptocurrencies, who protects me from hacker attacks?

The possibility that someone steals all your virtual currencies, unfortunately, is a very real and widespread hypothesis. Hacker attacks, as already anticipated, unfortunately, remain very frequent.

This aspect is not much emphasized by bloggers or self-styled experts, or completely glossed over by cryptocurrency buying portals since they earn commissions on all transactions because aspect could undermine the enthusiasm or hold back many investors.

However, one of the first and fundamental rules that one learns when becoming a trader or simple holder of digital currencies is that it is we

ourselves who must be the bank of our cryptocurrency. We are the ones who must protect our own treasure chest and personal treasure. It is crucial to never underestimate this aspect.

Step One: Make the Password You Use to Access Your Computer Complicated

In fact, not just complicated; it needs to be extremely complicated, extremely difficult.

Forget about using the usual, simple, and trivial password you have been using for years for your personal emails or accounts linked to various platforms you are subscribed to. If you operate with the same email and for convenience, you have stored it on the network, it will really be child's play for hackers to get into your computer. For them to steal capital from your virtual wallet will be like stealing candy from a baby or throwing a steak into a tank full of hungry sharks.

Use a new password, create one especially for the occasion and make sure you have never used it before. This password should be at least 20 characters long and consist of alternating letters, numbers, and special characters. Do not use sequences already used in other accounts or old emails, or personal subscriptions. Eliminate birthdates, wedding anniversaries, names of children or pets, birthdays of relatives or friends, etc., nothing that can be traced back to your personal data and easily found through social networks or other sources.

This first trick will turn your password from weak to strong, making it overly complicated for outsiders to access your PC.

Remember, never forget, or underestimate this element. Not having an extremely difficult and strong password would be the same as not having a secure or locked door at home. A commonplace password, for example, personal birth date plus dog's name, is equivalent to going to sleep or going out of the house, leaving the door wide open.

Step Two: Install an Anti-Malware and Start Scanning Consistently

Anti-malware software provides protection against viruses and other types of malware, including Trojans, worms, and spyware. Basically, all you do is

run a scan to detect programs that are malicious and eliminate "weeds from the field."

In particular, such programs (you can find many of them even free on the net) might detect a known malware, an unknown preceding malware, or recent suspicious files that would be better not to download to your device.

Step Three: Adopt an Encrypted Email and Use It Only for Cryptocurrencies

Another especially important step that should not be underestimated is to raise the security level of your email. This can happen thanks to an email called "encrypted", compared to a simple email.

This step is essential because, in order to access your profile or personal portfolio, regardless of the server you prefer, you will always be required to verify access and confirm your identity via email.

If someone could easily access your credentials, enter your computer device, and access through your email on the portal where you usually buy, sell, or exchange cryptocurrencies, and to which your credit card and personal bank account are linked, the hacker in attack would only need a snap of his fingers to transfer all your virtual currencies.

Step Four: Set Up a Dual Identity Recognition Method

To access the portal that you have chosen and then the profile where you usually make transactions, make sure that the portal, in addition to sending you a confirmation email to your encrypted email, which you must confirm to have access, also sends a verification code to your smartphone so that the portal is 100% sure that it is really you and that it is not a fake who tries to illegally enter in your place in the profile.

In short, you need to make sure that you have the keys to your chest firmly in place.

Step Five: Buy a Crypto Wallet External to Your Portal

A further strategy to shelter from external attacks of hackers and various scams is to buy a crypto wallet (on average, a crypto wallet costs from 80 to 120 USD) where you can transfer all your cryptocurrencies as it is not

recommended to leave them for a long time on the portal in your virtual wallet.

Hardware Wallets store a user's private keys on a hardware device like a USB pen drive. They can support multiple currencies. They are the most secure methods in the world, but they involve one big problem; if they break or you lose them, you will lose everything.

Step Six: Write Down with Pen and Paper on A Personal Planner, Just in The Most Traditional of Methods, All Passwords and Crypto Wallet Recovery Codes

To raise security, it is essential to adopt passwords that are often complicated and difficult to keep in mind; nevertheless, it applies to the various recovery codes of the crypto wallet.

Therefore, it is necessary to have a special diary (well, it would be much better to have two, where one serves as a backup of the first one) where you can jot down all the codes.

You should keep this diary-like the famous briefcase that contains the nuclear codes and always travels with the President of the United States of America.

This is the most valuable advice I can give you.

It sounds like a joke, but in reality, it often happens to run into interviews with young neo-multi-millionaire very proud to have bought Bitcoin in times when no one knew anything about it or believed in it, but who shows a very sad face because he can't find his crypto wallet or simply can't access it because he can't find his passwords anymore. It is not so difficult to suppose that he has absent-mindedly written them down who knows where, maybe on some piece of paper thrown away in the trash of the cafeteria underneath his house, or stuck who knows where among other documents of 5 or 6 years, maybe in the storage of a rented apartment where he does not live anymore. Believe me; it is the plain truth. After all, many people started out almost as a joke or as a bet, underestimating the real scope of the investment. Recently an interview with an American guy with an estimated fortune of about 220 million USD (now quadrupled, given the current value of Bitcoins), who was unable to access his fortune, has been released in the

press. This would be the drama, as well as the worst-case scenario, that could happen to an investor. Therefore, please always act like true professionals; protect yourself. File and handle everything with order, rigor, and precision.

Step Seven: Put Your Diaries and Crypto Wallet in A Safe Place

Last but not the least step is to prevent someone from stealing your crypto wallet or your password diary. Therefore, keep them in a safe place, where only you or extremely trusted people (usually no more than one or two people, never enlarge the circle) can access them.

In essence, using a further metaphor, imagine you are in ancient Egypt, and you must use all the tricks (secret tunnels, deceptive writing, walled rooms, and passages that lead off course) so that no thief inside the Pyramid can access the tomb of Pharaoh and loot all the gold. Think, for example, of the incredibly famous tomb of Pharaoh Tutankhamun. Only the sarcophagus containing the mummy, made of solid gold, given the value of the same to the ounce, in correspondence of its weight, is worth about 40 million U.S. dollars. Now, this priceless treasure is in the Cairo Museum along with the funeral mask of the deceased young ruler, priceless artifacts that were found, along with other precious objects and furnishings. If this unique patrimony in the world, not only for its economic value but also for its historical value, had not been found in 1922 by the English archaeologist Howard Carter but by one of the many grave robbers, it would have been lost and would not be admired by the whole of humanity.

Chapter 2: What is Blockchain?

A blockchain is a database that holds a series of records in a list that is ever-expanding. Each record is called a block, and the blockchain is fully secured from any form of tampering and from revision. Each of the records, or blocks, is time-stamped and is also linked to the record before it, hence the chain.

We all know of blockchains as being the underlying technology of the virtual currency, the bitcoin. The idea of the bitcoin was born in 2008, and in 2009, it became a reality; the blockchain is actually a public ledger of every bitcoin transaction. In the case of bitcoin, each client can connect to the network and can send transactions to the network. They can also verify transactions and take part in the heavy competition to make new blocks, a competition known as mining.

A Brief History

When it was first thought of, the blockchain really was only for the bitcoin and was derived as the answer to making databases completely secure and with the ability to be distributed widely. From 2014, the term “blockchain 2.0” began to be used in the database field and this second-generation blockchain.

In 2016, a pilot project based on blockchain technology was announced by the central securities depository of the Russian Federation, and a number of music industry regulatory bodies have begun to test out models for the collection of royalties and copyright management using blockchain technology.

How a Blockchain is Formed

Each blockchain is made up of blocks, each of which holds a valid transaction. Each of the blocks will include a hash of the block before it, and this is what links the two together. These links form the chain. As well as containing a hash-based history, every blockchain database will also contain a specific algorithm. This is used to score different versions of the histories, and this enables one version of a higher value to be chosen above

the others. Peers that support the blockchain databases do not have access to the same versions of the history all of the time; instead, they just hang onto the version that scores the highest (at least that they know of). When a peer gets a newer version with a higher score, it will normally be the one they already have with a new block added to the chain. At this point, they will overwrite the database that they hold and then send the improvement to the other peers. However, there is absolutely no guarantee that one entry will stay in the highest-scoring database version forever but, as a blockchain is built to add on the score of a new block to the total score of the existing blocks, there is a low probability of an entry being superseded, especially as more blocks go on and because there are certain incentives to working in adding new blocks to extend, rather than working just with old blocks.

Decentralization

By the very fact that a blockchain stores data across the network, it cuts out the risks that always go with centrally held data. This is because the network does not have centralized points that are vulnerable, and this means hackers cannot exploit them. We all know that the internet has a ton of security problems today; how many of us still rely on the system of usernames and passwords to protect data and identity, and these are easily hacked, whereas the blockchain uses encryption technology for security.

Encryption technology is based on a system of private and public keys. The public key is a long string of numbers generated randomly, and this is the blockchain address of the user. The transaction that goes across the network is recorded on that key and is down as belonging to that specific user. The private key, on the other hand, is similar to a password, and it is what allows the owner access to their digital assets. If you store data on a blockchain, it cannot be corrupted, but you will need to take some extra measures — you need to create a paper wallet and print your private key to safeguarding it.

Every single node that is contained in a decentralized system contains a copy of the blockchain. There is no official centralized copy anywhere, and not one user is given any more trust than another. All transactions are sent to the network through the use of the software. Mining nodes are then used to validate each of the transactions and then add them to the blockchain that

is being created. The entire block is then sent to the other nodes. Each change is serialized through the use of timestamps.

In the beginning, blockchains used to be permissionless, and this has led to a certain amount of controversy over whether an authoritative database containing chained data blocks should be known as a blockchain. This is an ongoing debate, and the crux of it is whether private systems that have verifiers who are tasked by and authorized by a central authority should be a blockchain.

Those in favor of private chains say that the term “blockchain” should be applied to all data structures that put batches of time-stamped data because the blockchains are a distributed version of MVCC (multi-version concurrency). MVCC will not allow two transactions to concurrently make any modifications to an object within a database and, in the same way, blockchains also stop two transactions from spending a single output within a blockchain.

Opponents say that an authoritative blockchain looks very much like a traditional database and doesn’t support decentralized data verification. These systems are not safe from tampering and are not secure from being revised by the operators. According to the Harvard Business Review, a blockchain is a “distributed ledger or database that is open to anyone,” and Computerworld says that most of the hype that surrounds blockchains is nothing more than “snake oil and spin.”

Applications

Blockchain technology, which I will talk about in more detail later on, can be integrated into several areas, including digital currency, payment systems, crowd sale facilitation, implementation of prediction markets, and generic tools for governance. Major blockchain applications include:

Cryptocurrency:

- Bitcoin
- Ripple
- BlackCoin
- Nxt
- Dash

Blockchain Platforms:

- Factom — distributed registry
- MainSafe — software for decentralized applications
- Gems — decentralized messaging
- Stori — distributed cloud
- Tezos — decentralized voting

Applications

According to a research project carried out over 2 years by the Harvard business review, blockchain technology can be used to store and host, in a secure environment:

- Money
- Titles
- Deeds
- Music
- Art
- Intellectual property
- Scientific discoveries
- Votes

Understanding Blockchain Technology

There is absolutely no doubt that the focus that was once on the single cryptocurrency (bitcoin) is fast moving towards applications that are based on cryptocurrency and built on the blockchain. The technology behind a blockchain is pretty much the same as that in a database but with one exception — the way that we interact with them is different.

For a developer, the concept of the blockchain is a radical change in the way that software applications of the future will be written. It is a key concept that has to be thoroughly understood, along with the other 4 of the 5 main concepts. We also need to understand how the concepts interrelate in the context of blockchain technology. Those key concepts are:

- The blockchain itself
- The decentralized consensus
- Trusted computing
- Smart contracts

- Proof of work

This paradigm is very important because it is the drive behind the creation of the decentralized application, the next step up in the evolution of the architectural constructs of distributed computing.

But this is by no means only a computing wonder. Applications that have been decentralized are going to be able to enable a trend of decentralization at 4 levels — business, governance, legal and societal. This is because the race is on to make everything decentralized and put the power at the edge of the networks. Let's take a look at each of these concepts in more detail:

The Blockchain and the Blockchain Services

A blockchain is a place where data is stored semi-publicly in a block. Anyone can see who verified the block because it will have a signature on it, but the only ones who can actually unlock the data inside the block are you or a specified program. This is because only the owner of the data has the private key to unlock it.

So, a blockchain is pretty much like a database with the exception that the header, or part of the stored information, is actually public. Stored data can be a balance of cryptocurrency or a token of some value. In essence, the blockchain is an alternative system for value transfer, one that can be tampered with by malicious third parties or accessed by centralized agencies. The encryption is based on public and private keys — public visibility but only for a private inspection. Your home address could be publicly advertised, but it wouldn't give any information about how to get into your home or what it is like inside. That can only be done through a private key and, as that address has been claimed as yours, no one else can claim it.

A blockchain is also a software approach that binds several peer computers together, all of which will obey the consensus process of the release of information, or for recording what information is held, and is also where every interaction is cryptographically verified.

The Decentralized Consensus

This breaks the existing model of the centralized consensus, for example, when a central database was used to rule over the validity of transactions.

Decentralized schemes, which the blockchain is based on, transfer the authority and the trust over to a virtual network that has been decentralized, thus allowing the nodes to record all transactions, on a continuous basis and in sequence, on public blocks, thus creating the chain. Each block contains a fingerprint, or a hash, of the block before it. Cryptography is used as a way of securing the authentication of each source through the use of these hashes, and that eliminates the requirement or the need for any centralized intermediately. The combination of blockchain technology and cryptography ensures that no transaction is ever recorded in duplicate.

There is an important factor in this unbundling — the consensus logic is kept separated from the application, which means that the application can be specifically written to be decentralized. That is the dynamite that is needed to kick off a whole series of system-changing innovations within the application software architecture, whether they are related to money or not.

Trusted Computing

Or, as some call it, trustless transactions. When you put together the concepts that are behind the blockchain — the smart contracts and the decentralized consensus — you begin to see that they are actually helping transactions and resources to spread in a lateral peer-to-peer manner and, in doing so, they are also enabling the computer to have trust in one another at a very deep level.

Where central organizations and institutions are seen as necessary to be trusted authorities, some of the centralized functions can actually be codified in a smart contract that is under the governance of a decentralized consensus on the blockchain.

Because the blockchain has the role of validating transactions, each of the peers can go head and trust each other because living on the technology is a number of rules:

- Trust
- Compliance
- Governance
- Authority
- Contracts
- Law

- Agreements

If you look ahead to the future, not too far ahead, smart property and smart contracts will be automatically created and executed between parties without either knowing that the blockchain was even involved as the trusted intermediary.

Chapter 3: History of Bitcoin

When and How Did It Begin?

Satoshi sent a mail on a cryptography mailing list with the title “Bitcoin P2P e-cash paper.” This was linked with a white paper named “Bitcoin: A peer-to-peer electronic cash system.” Satoshi outlined the concept of bitcoin as a digital and decentralized currency.

Kris Mars Zalek, C.E.O. of crypto.com, tells us that being decentralized implies there is no controller but instead a ledger of transactions that can be stored on the computer.

The first block, “Genesis Block,” was named on January 3, 2009, thereby launching the blockchain. For the first month, bitcoin had no real monetary value because it was only gotten by miners.

It was after a year, May 22, 2010, that bitcoin got its economic relevance as a Florida man negotiated to have some pizzas valued at \$25 delivered for 10,000 bitcoins.

Furo later revealed that a year after, miners and coders started building other currencies that took after bitcoin.

The Strange Beginning

The domain name bitcoin.org was quietly registered online in August 2008. Bitcoin operates through a unique software program that is ‘mined’ by individuals searching for bitcoin in a lottery-based system.

With time, approximately 20 years, a total of 21 million coins will be available. But up until now, about 18.5 million have been extracted.

Hal Finney, a console game developer, was among bitcoin’s earliest enthusiasts. He was a member of the ‘Cypherplink movement.’ He discovered Satoshi bitcoin’s proposal through the cryptocurrency mailing list.

Finney was amazed by the concept of decentralized online currency. As soon as Satoshi announced the release of the software, Finney was willing to mine the first coins (10 Original bitcoins).

Finney has openly credited Satoshi Nakamoto as the inventor of bitcoin and that his involvement was only secondary.

In 2010, a handful of businesses started accepting bitcoin instead of fiat money. Companies started investing in the currency in the first quarter of 2021. Tesla, an electric vehicle company, purchased over 1 billion dollars in bitcoins and offered customers the opportunity to pay for electric vehicles with the currency.

Bitcoin got the interest of tech enthusiasts as well. Tyler and Cameron Winklevoss bought \$10 million worth of bitcoin in 2012, and this investment had grown over 300% in less than a year.

Trading the Black Web

The anonymity around bitcoin transactions made it the most suitable currency for the illicit drug trade in the internet black market. Anyone could purchase hard drugs with bitcoin without revealing their identities.

A Sudden Mail

‘I’ve moved on to other things,’ he said, referring to bitcoin. ‘The future of bitcoin was secure.’ This was an excerpt from the email Nakamoto sent to the bitcoin core developer, Mike Hearn, on April 23, 2011. Satoshi left behind vital information, strategies, and plans on the working of bitcoin.

Who Actually Is Satoshi Nakamoto??

Whenever you use the search engine and search “Satoshi Nakamoto,” you will most likely see an image of an elderly Asian man. This person is Dorion S. Nakamoto, named “Satoshi Nakamoto” at birth. He is more than 60 years of age and lives with his mother in Los Angeles, United States of America. Dorion openly says he is not the creator of bitcoin.

In 2014, a journalist published a featured story pegging the identity of bitcoin’s founder to Nakamoto due to his engineering expertise.

Nakamoto openly denied this, and he issued a statement in Newsweek that ‘He did not invent, create, or otherwise work on bitcoin.’ These claims were made valid when the actual Satoshi Nakamoto openly declared he’s not Dorion.

Craig Wright

In 2016, Craig Wright, an Australian business enthusiast, claimed to be the creator of bitcoin and backed this claim with a disputed code.

Amid the sudden influx of skepticism and investigations, Wright issued a cryptic apology.

As the search for Nakamoto's true identity continued, Nick Szabo was brought to the spotlight. A team of intellectual researchers declared Szabo's writing to be most similar to Satoshi's.

Szabo denied these claims in a tweet and also in a New York Times story.

Elon Musk has also been linked to the creation of bitcoin.

What Does Satoshi Have to Gain by Remaining Secret?

Coin desk revealed that if the true identity of Satoshi is known, it could negatively affect the pricing. By remaining anonymous, the original proposition of the project is maintained.

Bitcoin is a digital money, digital asset, or digital property. It is a type of cryptocurrency and, in fact, was the first. It was created in early 2009, January to be precise.

There are no physical bitcoins; it is all virtual kept on a public ledger. They are not issued by government parastatals or banks. Bitcoin transactions are approved by a series of successive computing power.

Bitcoin is famous and has induced the establishment of other cryptocurrencies, majorly classified as altcoins. "BTC" is the common abbreviation for bitcoin.

Chapter 4: Best Exchange Cryptocurrencies

With the birth of Bitcoin, the need arose to exchange the new cryptocurrency with fiat currency. From the beginning, those who wanted to understand what this new currency consisted of had only two ways to do it: either to get hold of some Bitcoin by mining it (which was initially much easier than it is today), or by buying it from someone who already owned it.

Over time, some traders began to accept this new form of payment; they too needed to convert that profit made in BTC into legal tender currency. Even the most avid supporters, those who have kept their BTC longer, have also had the opportunity to spend them over time.

Today, spending our cryptocurrencies has become extremely easy thanks to cards, which allow us to instantly convert our cryptocurrencies by withdrawing cash at any ATM, but we have come to this over time through an evolution that has lasted years. As anyone can imagine, initially, there was not even a real market as there is today; at the beginning, there was only BTC, and the simplest way to convert it into fiat currency was to physically exchange it for cash. Obviously, bartering was not a very rational way to manage it, so soon, the first exchange platforms (exchanges) were born, which today allow us to easily exchange even large volumes of cryptocurrencies.

All this, ultimately, is part of what until now we have called the "cryptocurrency ecosystem," a layered and complex reality of services that allow users to manage their cryptocurrency, exchange it, and use it to buy goods and services.

Local bitcoin

If from the first moment, it seemed obvious that the easiest way to exchange cryptocurrencies was in person and that to build a "market" of this type (therefore, based on a sort of barter), it was necessary to resort to the web. The very success of the internet, not surprisingly, had also passed through all those services that allow the sale of goods or services between individuals.

With BTC, things went exactly like this; even today, there is a site called Localbitcoins (online since 2012), which connects those who buy and those who sell cryptocurrencies locally. Through Localbitcoins (and other similar sites), however, supply and demand are limited to meeting; that is, they have a first approach, while the real currency exchange is managed in person, typically in cash. In large cities, it is not difficult to find someone who also wants to buy significant amounts of cryptocurrencies by paying for them with cash, but it is no less difficult to suffer scam attempts in this way. In fact, there are not a few people who, for having exchanged their cryptocurrencies in this way, found themselves with thousands of euros of counterfeit money.

When proceeding with this type of exchange, therefore, it is always preferable to have the due precautions and never take anything for granted; the risk of being scammed must always be considered. Although it may seem unsafe, this type of exchange is still very much in vogue today, especially since the job offer also moves through these channels. In fact, there are many people around the world who have cryptocurrency to spend and would like to invest it in their projects.

Obviously, it is not common to find advertisements on these platforms to be a baker, but there are numerous ones related to translation jobs, the creation of websites and smartphone applications, as well as a very large number of job advertisements related to the blockchain (issue a token, create a smart contract, write articles for specialized sites, etc.). All this testifies to the revolutionary door of this technology; around the blockchain was born much more than a simple market. A real economy was born with lots of jobs, university courses with secure professional outlets, and projects financed for millions of euros.

The existence of sites like Localbitcoins shows us how the "crypto-economy," contrary to what its detractors claim, is not based on nothing but rests instead on concrete foundations, and it is supported at different levels. It is frankly impossible to think that people who have already come into contact with this technology, who have understood how it works, and who already use it regularly can stop doing it in the next ten years, while it is not difficult to imagine that in a similar period of time, more and more people

may decide to start using any of the hundreds of cryptocurrencies currently available on the market.

The Escrows

If in any big city in the world, finding someone who wants to exchange cryptocurrencies is all in all quite simple; in small towns, things are not as easy. Despite this, I myself, who also live in a small town, was surprised to find a person less than 2km from me who wanted to sell 3BTC in 2016.

To be honest, that person was also the only one in the whole province, so it was clearly a coincidence that he was right near my house. To all this, we must add that in many countries, banks are, understandably, reluctant to favor the movement of money towards cryptocurrencies and tend to block incoming and outgoing transfers connected to the accounts of some large exchange platforms. So, how can you exchange cryptocurrencies even for significant amounts through the internet without risking taking the proverbial package? Simple, we use special services called "escrow." On the internet, there are dozens of sites that allow you to do exactly this; the system is as simple as it is ingenious.

These sites are nothing more than a catalog of third parties who take on the responsibility of managing the transaction on behalf of all the parties involved; each of these users has a rating and requires a fee to carry out such a delicate task. The commission required by each escrow varies according to the rating that the user has accumulated, as the rating reflects the user's reliability.

With this system, therefore, scams become extremely rare and difficult. Escrows tend not to act in bad faith since they are paid for their reliability, and their reputation is their livelihood. This system, of course, is not exactly the cheapest of all and probably not even the most comfortable way to exchange fiat currency for cryptocurrencies. However, it has been used by thousands of users who have testified to its quality and effectiveness for years.

Exchange Platforms

There are many reasons why you may want to trade cryptocurrencies (with other cryptocurrencies or with fiat currency), and there are also many

different ways to do it; what we need to make clear is that there is a right way to satisfy every different need. Not understanding this simple thing when dealing with cryptocurrencies can lead to unpleasant inconveniences; a very common mistake, for example, is that the function of an exchange platform (or exchange if you prefer) is to allow the conversion of different cryptocurrencies into other currencies or fiat currency.

In reality, this type of service was created to allow trading and not to simply allow you to change your currencies. For example, imagine a lawyer who agrees to be also paid in cryptocurrency; since only a few clients decide to pay him this way, the lawyer tends not to spend that money and eventually accumulates a tidy sum on his BTC address.

At some point, our lawyer will want to spend this sum, and perhaps instead of spending his coins as they are, he decides that the time has come to convert them into euros; what is the most comfortable way to do it? Well, just open an account on one of the largest and most reliable trading platforms on the market and transfer the BTCs to their address, at which point you place a sell order in euros, and that's it, right? Well, things won't necessarily turn out to be that simple. The moment our lawyer tries to transfer the sum just converted into euros to his current account, the account could be frozen simply because he didn't read the compliance policy.

Obviously, not all exchanges adhere to this type of protocol. It simply depends on the different rules that different countries apply to manage this type of market. In Italy, for example, opening an exchange requires compliance with very stringent rules and is therefore not a simple (and even less economical) activity to start.

This set of rules (compliance) provides, among other things, the identification of users (which is why today almost all platforms require the sending of user documents) and that the funds deposited are used specifically for trading. Our lawyer was wrong in thinking he could just exchange his BTC. Since his behavior is considered improper and expressly prohibited by the regulation of the platform, our lawyer found his account frozen.

This does not mean that it is not possible to use an exchange platform to change our BTC? That of the lawyer is just one example of the risks that a

lazy person takes when not doing things with due attention, but there are numerous exchanges on the market, even among the largest, which do not have such strict rules.

The world of cryptocurrencies is refractory to the regulations imposed from above, hence the fact that users (including traders themselves) are forced to sacrifice their privacy to legitimately operate with their coins (since they have to submit their documents to exchange platforms for opening an account). It's not exactly one of the most popular norms within the community; at a certain point, users on social networks, forums, and blogs began to tell each other that it would not be a bad idea to build a decentralized exchange.

After all, what else is an exchange platform but an updated register of all the exchanges made? Exactly the type of data that can be processed through a blockchain, as long as there is a decentralized network of nodes that guarantees its functioning. At this point, anyone can guess why at this very moment on the market, there are at least a dozen platforms (with related native cryptocurrencies in tow) that offer exactly this service; users can transfer their coins to these platforms and do their own trading (or just simply change their coins) just like they currently do with large centralized exchanges. Where is the difference? That in this way, they can do it anonymously and, in many cases, without paying commissions for every operation they make.

A recent innovation has also contributed to making this even easier to achieve known as the "atomic swap," which allows users to use a smart contract to process an exchange of currencies between coins belonging to different chains. In this exchange, the smart contract essentially acts as a real escrow (thus protecting both parties involved), making sure to send the coins to the relevant valid addresses. Let's imagine that a user wants to buy ETH using their BTC; a smart contract will take its BTC, it will search for one or more users capable of satisfying the request at the price set by the user, and as soon as this is possible, it will self-execute by paying the respective parts to the addresses that each of them will have formerly established.

Decentralized exchanges are one of the best examples of the advantages of disintermediation which, inevitably, also coincides with a drop in the costs incurred by the end-user. The reduction of costs, then, becomes an extraordinary incentive to convince more and more users to abandon centralized models in favor of decentralized ones, and that is why, at least in the long term, all this new technology based on disintermediation and decentralization seems inexorably destined to win over the (centralized) models that currently regulate some of the main aspects of our social life.

Part 2: Making Money with Crypto

Chapter 5: How to Buy and Sell Cryptocurrencies

Once you have somewhere to put your funds, you can actually get some Bitcoin! There are a number of ways that someone can get Bitcoin, but the most common are:

- By exchanging fiat currency for Bitcoin through an exchange
- Getting Bitcoin from someone else who already has Bitcoin
- Bitcoin mining

We will look at all of these methods, but before we dive in, we should step back and look at a more fundamental question: Where do Bitcoins come from?

Where Do Bitcoins Come from?

Who “makes” bitcoins? This is an important question, and it is relating to another issue that you may be wondering about: how is the value of bitcoin determined?

To answer both of these questions, it is helpful to look briefly at where traditional fiat currency comes from. Broadly speaking, governments and institutions control the printing of paper money. The amount of money that is printed impacts the value of that currency in the global financial market. The economics behind how this all works can get pretty complicated, but in a nutshell: the more money a government prints, the less value that currency generally has. In economic terms, this principle is often referred to as “scarcity,” meaning that the less there is of something and the more people that want it, the more value that thing has. This concept applies to commodities, fiat currencies, and Bitcoin.

There are many examples throughout history of situations where a government has printed tons of paper money to cover short-term expenses (almost always related to war), and as a result, the value of that currency has plummeted. Probably the most well-known example of this is the hyperinflation that occurred in Germany’s Weimer Republic after World

War I. People famously wallpapered their houses with paper money because it had so little value.

One significant way that Bitcoin is different from fiat currency is that there is a hard cap to the number of Bitcoins that will be created. No more than 21 million Bitcoins will ever exist. The last Bitcoin is estimated to appear sometime around the year 2140. This built-in scarcity is one crucial aspect of how the value of Bitcoin is determined.

Still, however, we have not really answered the question of where Bitcoins actually come from. The short answer is that they are “mined” by Bitcoin miners.

Bitcoin Mining

If Bitcoins come from mining, it might be quite tempting to conclude that one should drop everything and become a Bitcoin miner. One of the first things that newcomers to the Bitcoin space often hear about is mining. At a glance, this can look like a primrose path to “free money.” It can sound like mining is as easy as firing up an application on your laptop and watching the Bitcoins come rolling in! Unfortunately, like most things involving “free money,” the reality is that mining is not so simple.

Earlier we looked at the blockchain and how transactions are stored throughout a distributed network of computers. We know that each transaction is verified and added to the blockchain, but how exactly does this happen?

This is where miners come in. Bitcoin miners use special software to solve complex math problems that are used to verify transactions, maintain the blockchain, and add blocks. By checking a new transaction against the public ledger of preceding transactions (the blockchain), a “node” (a particular mining station) is able to distinguish between a valid transaction and an invalid one.

If someone attempts to spend Bitcoins that don’t exist, the system will say “Hey, wait a minute, this doesn’t match up with the history on the blockchain...” and the transaction will be rejected. Miners handle the heavy-duty computer processing that it takes to check all new Bitcoin transactions, verify them, and add them to the blockchain.

In exchange for solving blocks, miners are rewarded with a certain amount of new Bitcoin, thus adding a little bit at a time to the global volume of available Bitcoins in circulation. This incentive encourages more people to mine, leading to a more secure system through wider distribution.

In the early days of Bitcoin, mining was something that could be done on pretty much any old computer, and the reward for “discovering” a block was ample, while the overall value of Bitcoin was extremely low and there were not that many Bitcoins in circulation. Over time, as more and more people began to use Bitcoin, and also to become miners, the conditions changed.

Built into the protocol behind Bitcoin is a relationship between the number of miners and the level of difficulty involved in solving the problem, or “mining” each block. In theory, we can imagine that if more miners enter the scene, more blocks will be created at a faster pace. The Bitcoin protocol works in such a way that as more blocks are created, the rate of difficulty involved in solving the complex math problems required to successfully “mine” a block goes up. By making it harder to mine a block, the rate of block creation goes down. This relationship between the number of Bitcoins that exist and the level of difficulty involved in mining new ones keeps the ecosystem stable over time.

The level of difficulty, today, required to mine a block is so resource-heavy, both in computer power and electricity, that it requires special equipment. In most cases, the cost of a mining operation far outweighs what one could hope to earn from mining Bitcoin for a very long time. Many miners today operate in collectives known as “pools,” where members combine resources and split rewards. Joining a mining pool is one way to increase the odds of recouping the costs of mining equipment and potentially making a profit. It is still possible to earn Bitcoin today through mining, but it is definitely not easy or free to get started.

Buying Bitcoin

While there is still opportunity in mining, it is definitely not the most straightforward way to get your hands on some Bitcoin. It is much faster and easier to get existing Bitcoin from somewhere else rather than trying to mine new Bitcoin.

When it comes to acquiring Bitcoin in this way, you have several options. No matter which route you take, you will need to set up a Bitcoin wallet to receive and store your funds.

Bitcoin Exchanges

In many countries, the easiest way to buy Bitcoin with fiat currency is through an online exchange. Bitcoin exchanges work essentially just like any other currency exchange where you use one currency to buy another. At the time of this writing, Coinbase is one of the most popular Bitcoin exchanges in the US. Coinbase is an online platform that creates a Bitcoin wallet for you, lets you connect your bank account, and buy or sell Bitcoin through a very simple user interface.

Most Bitcoin exchanges involve transaction fees, and Coinbase is no exception. While it is technically “free” to use most Bitcoin exchanges, there will be percentage fees associated with most or all transactions. It is also not uncommon to experience delays when transacting through exchanges, which can range from mildly inconvenient to debilitating. Becoming familiar with the process and factoring fees and delay times into your transactions will make things run much more smoothly.

Most exchanges that allow you to buy Bitcoin with fiat currency will require you to link to a bank account and enter some personal information. This allows for fast, convenient movement between fiat currency and Bitcoin. Once again, it will be worth it to do some research and be sure to use an exchange that can demonstrate some longevity and has a good reputation.

Even then, it is generally not a good idea to store all or most of your Bitcoin in an online exchange. Mt. Gox, famously, was the world’s dominant Bitcoin exchange for several years. At the height of its popularity, Mt. Gox handled around 70% of the world’s total Bitcoin transactions. Then, in 2014, there was a massive security breach and approximately 850,000 Bitcoins were lost or stolen under somewhat mysterious circumstances. Exchanges are useful for moving funds between Bitcoin and fiat, trading, and actively transacting with Bitcoin, but the Mt. Gox fiasco is a good example of why it is not the best idea to keep all of your assets stored in an online exchange.

Bitcoin ATMs

Another way to buy Bitcoin that is becoming increasingly popular is through Bitcoin ATMs. These devices are cropping up all over the place, from malls to airports to city centers. They look a lot like traditional ATMs, but there are some important differences. Primarily, Bitcoin ATMs don't connect to any banks. They are connected, through the Internet, only to the universe of the Bitcoin network. Many Bitcoin ATMs allow for bi-directional exchange, meaning that you can either insert cash to be converted to Bitcoin and transferred to a public key address, or you can have Bitcoins from your own account converted into cash and dispensed by the machine. Some only handle transfers one way or the other.

ATMs can provide a more anonymous way to buy Bitcoin without syncing your bank account to a platform like Coinbase. However, there may be high transaction fees and limits on how much you can deposit or withdraw depending on the machine. One way that you can search for Bitcoin ATMs in your area is by using the Coin ATM Radar website.

Getting Bitcoin from Someone Else

Since the very beginning of Bitcoin, one of the most common ways to get started with the currency has been to find someone willing to gift or sell some to you. As Bitcoin is a digital asset, it should not be too surprising that much of the Bitcoin community exists online. Forums such as bitcointalk.org or Reddit's [r/bitcoin](https://www.reddit.com/r/bitcoin) are good places to engage with other Bitcoin users. Some Bitcoin enthusiasts are happy to donate a small amount to a newcomer to help them establish their first wallet. After all, the more people that use Bitcoin, the higher the demand, thus, the more valuable it will become, at least in theory. Through that lens, it makes sense from a long-term financial perspective to help new users get started even if means spending a little of your own coin initially.

There are also a variety of tools online to find local Bitcoin exchanges, where people actually meet up offline, in person, to trade with Bitcoin. This can be a great method to avoid transaction fees, meet fellow Bitcoin enthusiasts in your area, and potentially increase the level of transaction anonymity. As with any scenario that involves meeting someone "from the Internet," use your judgment if meeting up to exchange Bitcoin locally.

Chapter 6: Crypto Fundamentals

Before getting started with the 'money-making' ideas with cryptocurrency, it is crucial to have a basic understanding of how this virtual coin works and what makes it different from the traditional fiat currency (i.e., dollars, euros, pounds, etc.), which we use on a regular basis. Cryptocurrency is a digital currency that works on the decentralized concept and uses encryption techniques to verify the transactions, maintain the historical records of the entire transactions, and generate new units of currency without the necessity of a central regulatory body to oversee the process. It follows the peer-to-peer electronic transfer approach by using cryptography to secure its transaction, has control over new coin generation, and verifies transfers made in the cryptocurrency network.

There are over 1000 cryptocurrencies available on the market as of today's date since the first cryptocurrency 'Bitcoin' was introduced in early 2009. With so many virtual currencies in the crypto market, it is crucial to identify the trusted and genuine coins among them and devise a strategy to choose the best out of the lot to earn that extra money you would have always want to.

What is Cryptocurrency Strategy?

With more people getting excited about the cryptocurrency market and the remarkable profit it can provide, it is essential to devise a strategy to earn money using crypto coins. If you are looking for reliable and steady financial growth with fewer monetary losses, then it is time to evaluate the process and practice a smart cryptocurrency strategy to tackle the growing competition in the crypto world. The key to success would be — Be logical, don't get emotional.

The uncertainty in the market and the price fluctuations might be too stressful, but taking decisions when your 'panic mode' is ON might turn fatal for your financial stability.

Cryptocurrency strategy helps you to choose the right investment or trading option based on your financial goals. When you have a strategic plan in place, it will help you balance the potential gains made against the risk of

losses as capitalizing on the returns shouldn't always be the major objective but risk minimization is what is needed, to help you stay in the market for a longer time. The best cryptocurrency strategies that can be implemented are:

- Investing in cryptocurrencies
- Trading with crypto coins
- Mining the crypto coins
- Concentrating on the 'buy and hold strategy
- Exploring new cryptocurrencies apart from the 'major ones.'

The basic and primary cryptocurrency strategy that should be followed consistently by novices in this area is: to invest small amounts in crypto coins to minimize the risk of a massive financial loss if the yield is negative. Always remember, if you cannot afford to lose the money you put in, then better not to proceed with 'that amount.' The capital amount you put in should range between 1% and 10% depending on your existing financial possessions (stocks, bonds, etc.) based on your capacity to stomach losses (in case it happens).

Many articles and blogs had claimed to witness investors and traders who have enjoyed huge financial benefits for their patience when they decided to follow the 'Buy and Hold' strategy with popular crypto coins.

Why Is It Important to Learn the Cryptocurrency Strategies?

Cryptocurrency strategies don't necessarily mean writing plans, drawing flowcharts, and following a popular trend that is currently on the market. It is much more than that, if you are looking at becoming a successful crypto investor, you will need to understand the basics of crypto coins, the technology it uses, and the drawbacks it holds. It is essential to have a thorough knowledge of your investment portfolio before you float your money into it.

Take it slowly, measure every step you take, be patient, and study the portfolio extremely well if you want to stay longer in the crypto market. Be smart by diversifying your options. If you already have investments in traditional assets such as stocks, shares, bonds, etc., don't close them but continue with the existing ones and invest a small amount in

cryptocurrencies. Get hold of the right wallet to store and secure your crypto coins.

To enjoy benefits with cryptocurrencies, it is important to:

- Understand the functional ‘know-hows’ of cryptocurrency technology.
- Be aware of the cryptocurrency market.
- Study the competitors and key players.
- Try to find out the various factors that might affect the price-value change.
- Gain clarity on the steps when it comes to funding withdrawal from cryptocurrency exchanges.

Steps to Be Followed to Implement the Right Cryptocurrency Strategy

Execution fails if planning is improper, likewise, without the right strategy, even the ‘experienced’ would stumble. If you have chosen your cryptocurrency strategy and want to implement the same, you will need to be sure you have a strategic plan in place for the chosen ‘Cryptocurrency strategy.’

Following the below-mentioned steps will help you with a smooth implementation process without getting caught with ‘unexpected hiccups’ in between:

- Choose the cryptocurrency you want to invest in.
- Decide on your investment or trading style to earn money with the chosen cryptocurrency.
- Be clear on the approach you want to follow. Would you be looking at a short-term plan for making quick money or a long-term plan for enjoying steady benefits?
- Apart from investing or trading, would you want to explore the ‘mining’ option too?
- Plan for a proper risk management strategy based on your financial strength.
- Conclude on the amount you would want to put in to purchase the chosen crypto coin.

- Is the source of the 'capital amount' decided? Are you taking a small chunk from your regular income, or are you selling your traditional stocks or shares to invest in the cryptocurrency?
- Have an exit strategy planned in case you don't get the expected result and don't forget to follow the 'crypto trend,' which is in use.
- Look at the market with hawk eyes when it comes to crypto trading as the crypto market is open 24/7.
- It is wise to buy the crypto coin when the price is small and sell when the price value shoots up.
- Scan through the mistake patterns and try not to repeat the same when it comes to investing in cryptocurrency
- Analyze and compare the different cryptocurrencies before you choose to make money using the 'mining' option. Choose the ones that have less complex algorithm processes.

Chapter 7: Best Strategies to Earn Money

There's one more thing you need to know before you plunge into the cryptocurrency world: how to receive cryptocurrency.

In the cryptocurrency industry, there are many ways to make money. To begin, you should thoroughly familiarize yourself with them and select the one that best fits your lifestyle, financial situation, preferences, and other factors. You can also choose multiple coins and cleverly combine them. You would have a greater chance to diversify your risks and gain more in this situation.

In today's cryptocurrency industry, there are a variety of ways to profit:

- Long-term investment
- Trading
- Mining
- Participating in ICO
- Re-selling cryptocurrency.

Here's a short rundown of each of these approaches. After that, I'll go over each strategy in greater detail.

Long-Term Investment

If you choose this method of benefit, you should have the following:

- A one-to-two-year duration (invest a sum of money you can easily "freeze" for several years)
- A significant sum of money (if you can invest in parts only, this too can be viewed as a long-term investment)
- Preparedness for danger (which are higher than in the banking sector).

In the long run, you benefit from substantial capital gains.

Trading

If you prefer this method of benefit, you should have the following:

- The passage of time (not the time for waiting as with long-term investment, but the free time you can devote daily to trading)
- A modest sum of money
- Perseverance and diligence are required.
- Intelligence created by machines (as you have to work with numbers and charts)

It's possible to keep an eye on things and keep track of what's going on.

To potentially make money quickly and earn recurring profits, you beat the market and take risks (the higher the possible gain, the higher the risk).

Mining

Mining is the method of making new bitcoins or cryptocurrencies. If you're interested in making money with cryptocurrencies, you'll need to determine if you want to do it as a hobby or go into skilled mining.

You'll need the following items for hobbyist mining:

- Mechanical intelligence (or a mechanically intelligent friend or advisor)
- Support for new companies (usually up to six mining farms)
- Preparedness for technological issues and disruptions
- Equipment protection from external influences (pets, children, etc.).

In mining, you make money by making a small but consistent profit. You also have the option of not only trading but also managing the market.

If you want to go into technical mining, you'll need the following items:

- Mechanical intelligence (or a mechanically intelligent friend or advisor)
- Investments or startup money
- Locations (with electricity, ventilation, cooling installations, security)
- A group
- Availability to take on responsibility (for equipment, premises, team).

You will make a regular and consistent profit by running your own mining farm; you can also control the market rather than just trade in it.

Furthermore, you will have the potential to own something concrete and sell your company in the future.

ICOS (Initial Coin Offering)

Many people have taken part in so-called initial coin offerings (ICOs) to date (Initial Coin Offering). In a nutshell, this is a different take on the crowdfunding model, close to an IPO. Participants contribute money to the construction of a project in exchange for potential benefits, although there are no guarantees.

An initial coin offering (ICO) is when a project issues vouchers or tokens that can be used to pay for site services with cryptocurrencies in the future.

A venture fund, i.e., an investment fund that works with creative businesses and ventures, has a lot in common with an ICO (startups). A venture fund invests in stocks or shares in high-risk or reasonably high-risk businesses with the expectation of exceptionally high income.

In general, 70 % to 80 % of such initiatives fail to pay off. The benefit from the remaining 20%-30%, on the other hand, covers all losses.

If you think you're courageous enough to fund a project with no promises, consider the following:

- Am I willing to take on additional risks?
- Is there a capital cushion for diversification in my portfolio?

You make money with an ICO by taking huge risks in exchange for a chance to make a lot of money.

Re-Selling Cryptocurrency

Trading and reselling cryptocurrencies have a lot in common. You can benefit from currency fluctuations here as well; but unlike trading, it's a game between wholesale and retail rates rather than the market or exchange rate.

If you're interested in making money this way, you should:

- Do not take risks
- Operate in small sums only
- Understand that income depends on your turnover.

So far, we've just scratched the surface of the simple ways to benefit from the cryptocurrency sector. Let's take a closer look at each approach now.

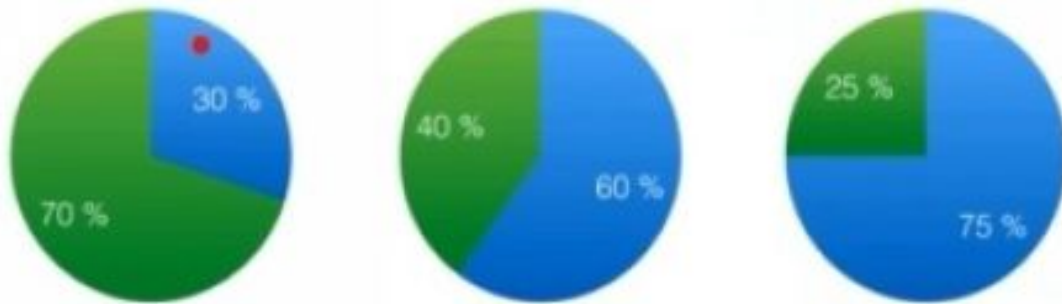
Making Long-Term Investments: A More In-Depth Look

You may remember Warren Buffett's first rule: never lose money. This is particularly true for long-term investments, where the goal is to retain the money rather than lose it.

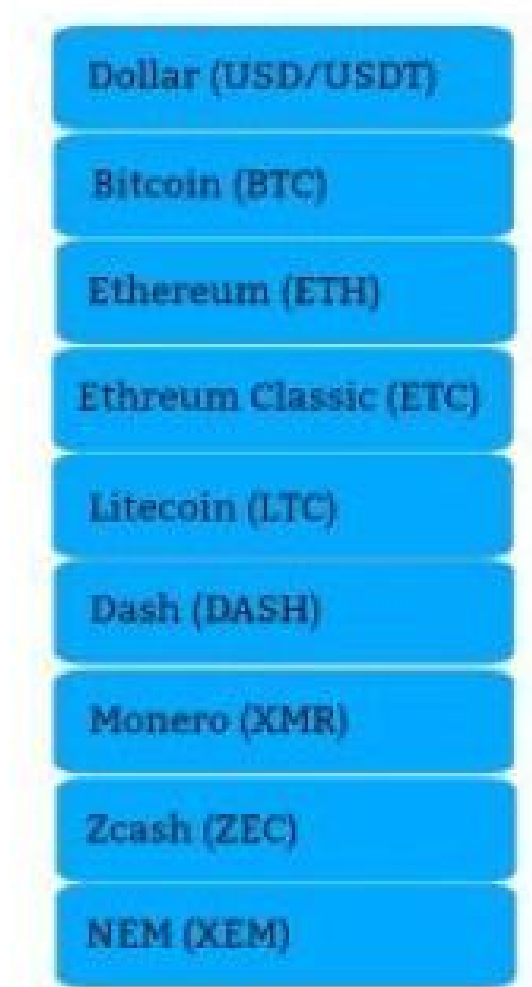
Let's go over some of the foundations of making a long-term investment:

- Do not lose money; reduce risks
- Do not make a fuss
- Reap benefit in future

This is how you can set up your cryptocurrency portfolio for long-term investment.



The blue color is used to denote positions that are more moderate and stable but may be less lucrative. The green color denotes positions that are riskier but also more promising. Blue coins are the more stable currency at the moment.



Why is this currency marked in blue? We're doing it because there's a fair chance this currency will appreciate in value. Bitcoin takes the lead since it is now regarded as the most trustworthy currency. Furthermore, its value can only increase. Why am I so sure of myself? Here's my response:

The entire cryptocurrency market is now transacted in Bitcoin, which is widely accepted.

The rapid growth of the project and the system as a whole.

Since you should always have "fast" capital in your portfolio, from which you can function quickly and trade for cryptocurrencies, the dollar is also marked in blue.

Let's take a peek at the portfolio's green coins.

<i>Ripple (XRP)</i>	<i>Counterparty (XCP)</i>
<i>Golem (GNT)</i>	<i>Dogecoin (DOGE)</i>
<i>BitShares (BTS)</i>	<i>Riecoin (RIC)</i>
<i>Waves (WAVES)</i>	<i>GameCredits (GAME)</i>
<i>Stratis (STRAT)</i>	<i>Aragon (ANT)</i>
<i>Storjcoin X (SJCX)</i>	<i>NEO (NEO)</i>

If the preceding currency was almost impervious to fluctuation, the situation with green coins is continuously shifting. At the time of writing this novel, the currency on the green list tends to be risky. Bear in mind, though, that something could change by the time you read this.

According to my findings, the age of an individual influences the formation of a portfolio. Isn't it odd? Not in the least! Your investment portfolio will be riskier the younger you are. When we're young, we don't mind skating on thin ice; but as we get older, we're less willing to take chances.

Aside from your age, what else affects your investment portfolio? The amount of money you have. It's easy to gamble a small amount of money if you have a lot of money to invest. Your plan could, however, be more stable the more capital you have.

The size of your financial buffer is the final factor that determines the composition of your portfolio. If the risk is minimal, it is advisable to mitigate it.

At the same time, as cliché as it might be, I'd like to remind you of another simple investment adage: buy low, sell big! When the price of a coin drops, it's usually the best time to buy it. However, we are being greedy at this time, believing that the price of a coin may fall even further.

A "moving average" approach is used to solve this dilemma. It can be either simple or exponential in nature.

Let's look at this example of a simple moving average.



For example, let's say you're really interested in a \$100 coin. You plan to buy 14 of these coins one fine morning while sipping your coffee. So, you shelled out \$1,400. The coin price will hit \$105 in a few weeks. You make \$1,470 by selling these 14 coins for \$105. You've made a profit of \$70.

But, what if you plan to buy these 14 coins in installments rather than all at once?



The graph seems to have remained unchanged. In one case, the average coin price is \$100; and in another case, the average coin price is \$91. As a consequence, in the second example, you spend \$1,274 on 14 coins and sell them all for the same price as in the prior map. You've made a profit of \$196. What happened to cause that? We simply took a different approach to the issue.

You don't have to wait for the right moment to enter the market or be fearful that the rate will fall even further if you use a simple moving average strategy. You simply purchase a fixed amount of currency each month. Regardless of whether the price is that or falling, you continue to buy. In fact, this technique is overused, but it is extremely successful for long-term investing.

In general, the simple moving average technique helps you to do the following:

- Lowering the average selling price;
- Purchasing more shares for the same amount of money;
- Minimizing losses in the downturn and recovering from losses more rapidly in the upturn.

Now is the time to think about using an exponential moving average strategy.

Profits can be improved using the exponential moving average strategy. All works like this: when the price remains the same or rises, you make your regular purchase; when the rate falls, you buy more.

It's worth noting that this approach can also be used for short-term investments. You expect the price of a coin to increase in the immediate future and then sell it. I suggest paying attention to altcoins, particularly those in the formation stage while using this strategy.

In a short-term plan, it is important to make a profit. I consider using the 50/50 approach for this. Let's say you paid \$1.50 for a coin. Its price increases to \$3 later, and you sell half of a coin to break even. All are straightforward.

Enable me to offer some advice.

If you choose stability over risk, choose coins with a higher initial cost. Pay attention to cheap coins if you want to make potentially explosive money. On cents, the most profit is made. After all, no one can deny that a dollar can rise tenfold much faster than a \$100 bill.

Finally, keep in mind that the cryptocurrency business is still evolving. As a result, you must check your investments hourly to remain current and make informed decisions.

Chapter 8: How Much to Buy

If you invested in cryptocurrencies between 2017 and 2021, you are a fourth-generation investor in the cryptocurrency market. If you have purchased your cryptocurrency within 2018 or 2019, you have bought into a bear market — one controlled by sellers rather than buyers. This is a good strategy for long-term returns but not for short-term returns (unless you are intentionally shorting the market).

It is a psychological struggle to buy long positions during a bear market as the price is likely to decrease for some time after you have made a purchase. An investor is faced with a black-box problem regarding when the price will stop dropping. No one can predict what the lowest price will be and when the market will start rising in value again. This only becomes clear after the event, by which time it is, of course, too late to purchase at the ideal price.

The best solution to this problem is to use ‘dollar-cost-averaging.’ You start by making an initial purchase at any price low enough to feel comfortable. You then purchase more of the asset as the price decreases. If your purchase does not use any leverage, you can sleep at night knowing that no matter how far the price decreases, you are only getting a better price to enter another position to average down your investment. There is no risk to your positions purchased at higher prices. When the market recovers and starts to show considerable gains, you can decide when to take profit and repeat the process, if necessary.

As we have already seen, the market cycle for bitcoin (and therefore the entire cryptocurrency market) is related to its halving process and lasts about four years. The bull market generally lasts around three years, during which the price increases exponentially in its final movements.

This is followed by a bear market for around one year, during which the price decreases by around 80% before starting to climb again.

These dramatic fluctuations can lead the uninformed investor to think that cryptocurrencies are a risky investment. If bought in the latter stages of the bull market, investors tend to dwell on the 80% loss. However, they forget

that it is only a realized loss if the cryptocurrency is sold — it doesn't even have to be a loss if you are patient and employ the correct investment strategy. Unlike other investments, it is usually better to stay in the market no matter what the price does by trusting the fundamentals of strong cryptocurrency projects due to the unique properties of this asset class.

When investors do sell out of fear, they forget about the growth that easily exceeds that of any other asset class in the world. This is not hyperbole. Bitcoin was up 150,000,000 percent at its all-time-high of \$20,000. No other investment in history has delivered this kind of return or anything like it. Effectively, ill-advised investors focus too much on the price and neglect the fundamentals that are the true indications of probable future profit.

Bitcoin has the longest history of any cryptocurrency and is by far the largest cryptocurrency in terms of capital, so I am going to use it to demonstrate the generational effect of the cryptocurrency market.

1st Generation (2008–2011) \$0.001–\$1

First-generation investors are generally young, technologically sophisticated individuals who are unlikely to be motivated by profit. Ironically, these individuals are now the wealthiest investors involved in the cryptocurrency space. The early adopters of bitcoin are likely to have been politically and socially motivated to create a new form of currency that avoided all the problems associated with traditional fiat currency (and which were exposed all too clearly by the 2008 financial crash).

2nd Generation (2011–2013) \$1–\$100

After the growth of bitcoin to \$1 (a 100,000% increase), the price fluctuated significantly and took a further two years to rise to \$100. Around this time, the second generation of investors became involved. These were more focused on profit and speculated on the price of bitcoin with intention of generating additional fiat currency from their trading. Numerous exchanges were established (some better, and longer-lasting than others), and the market started to become a lot more liquid as the number of individuals trading bitcoin (and, as a direct result, the number of bitcoin available to trade) increased. Because of its pseudo-anonymity, the media started to run stories of bitcoin being used for illegal and morally dubious transactions on

websites such as silk road. This is somewhat ironic given that every single crime in history up to this point in time had used fiat currencies and the traditional means of exchanging value anonymously: physical cash!

3rd Generation (2013–2017) \$100–\$20000

With more significant price rises (to call the market volatile would be a significant understatement), mainstream media and institutions started to notice bitcoin (along with other cryptocurrencies) and referring to its extreme price movements. Most of this attention was overwhelmingly negative in terms of the adoption and use of cryptocurrencies. As the price rose, mainstream financial pundits were asked their opinion of cryptocurrencies and very few of them had anything positive to say.

Despite large institutions, banks, and traditional investors knocking bitcoin, retail investors continued to buy, pushing the price above \$10,000 for the first time. By this point, bitcoin had become a popular talking point and practically everyone who could afford to started to pay attention and invest. Suddenly, bitcoin was everywhere and had gained a level of validity among a subset of investors that very few investments ever achieve. A little over one month after breaking higher than \$10,000, the price started to drop severely.

Ironically, bitcoin was being watched (and purchased!) the most when it was most likely to fall in value. Opinions were polarized. Some investors were intensely supportive of bitcoin, whereas others were hypercritical and derogatory. When the price rose massively, bitcoin investors celebrated and attacked the detractors. When the price fell, exactly the opposite happened. You were either for bitcoin or against it, with both sides being highly disparaging about the other. This left the uninformed investor extremely confused about whether bitcoin was a glorious investment opportunity or a huge criminal bubble about to burst.

4th Generation (2017–2021)

The number of people who have heard about bitcoin has reached an all-time high — even if most opinions are based on myth and rumor rather than facts. The number of people who have invested in bitcoin or hold a bitcoin wallet is also at an all-time high. Bitcoin and other cryptocurrencies have

never been more accessible and the interest from larger financial institutions has never been higher.

Because of the price action and subsequent sell-off, the number of interested parties willing to expose capital to the market is also high, though paradoxically not as high as when bitcoin rose above \$10,000 for the first time. As of the start of 2020, there are businesses and infrastructure in place to purchase goods using bitcoin and other cryptocurrencies, involving either instant conversions to cash (via a bitcoin cash machine), or a debit card service such as Revolut.

In 2019, a movement by Intercontinental Exchange (owner of the New York Stock Exchange, alongside 22 other mainstream markets) launched the world's first SEC-approved cryptocurrency futures exchange called Bakkt, its declared aim being "to expand access to the global economy by building trust in and unlocking the value of digital assets." This capital will almost exclusively be used to purchase bitcoin, ether, and ripple, causing the prices of these assets to increase dramatically as the market expands through institutional investors for the first time.

The number of investors interested in the cryptocurrency market has increased the liquidity so much that anyone can confidently buy and sell bitcoin, ether, and ripple without any issues. Furthermore, with the development of cryptocurrency synthetics such as CFDs (Contracts for Difference), it is now easier than ever to speculate on the price of cryptocurrencies without owning any coins or even setting up a cryptocurrency wallet. This arrangement suits investors who are not concerned about the long-term security of their investment when trading through synthetic investments (refer to page 39 for more details).

This situation is highly attractive to institutional investors who want to make short-term trades without having to physically trade the underlying asset (which can result in liquidity issues, slippage, insurance, and other costs they'd prefer to avoid). However, due to economic uncertainty, it will be the investors who are holding and trading the genuine asset who will keep their cryptocurrency holdings when the inevitable global economic recession eventually occurs. After all, synthetic contracts rely on the company behind the contract remaining operational, which may not be the

case during a global economic recession or another currency, debt, or fractional reserve crisis.

The future looks brighter than ever for cryptocurrencies that solve real-world problems, have a large amount of fundamental support, and are now backed by major institutions that can see and exploit their potential. Bitcoin, ether, and XRP are likely to remain the most valuable cryptocurrencies for the foreseeable future. They present knowledgeable and proactive investors with an opportunity to avoid (and profit from) all the issues facing fiat currencies which are likely, at some point, to cause another severe economic crash of mainstream markets and products.

Chapter 9: Frequently Asked Questions About Cryptocurrency Investment

Thanks to Bitcoin, cryptocurrency has been popularized and is now on everybody's radar. It is not unusual for people to wonder how it works, how they can invest in cryptocurrencies, and why it might be a good idea. Here, we hope to answer any questions you may have about the basics of cryptocurrency investment.

The primary thing you must comprehend is that investing in cryptocurrencies isn't investing as such; instead, cryptocurrencies are speculation assets, and there's very little regulation around what you invest in or who you buy from. So, let us deal with the most commonly asked questions about cryptocurrency. They are as follows:

Q: What Is Cryptocurrency?

A: Cryptocurrencies are a form of digital currencies based on blockchain technology. They can be used to pay for transactions using a particular currency or convert it into fiat money (government-backed currency, such as the USD, EUR, etc.). The most popular cryptocurrencies are Bitcoin (BTC), Ethereum (ETH), and Litecoin (LTC).

Q: How Does Cryptocurrency Work?

A: All cryptocurrencies are based on blockchain technology. This means that information about transactions is not recorded in a central place. Instead, all transactions that have ever taken place are stored in immutable digital blocks that require cryptographic validation to be spent. When cryptocurrency is sent from one address to another, the transaction is validated by miners. Combining information from several transactions, they create a new digital block that contains both and a hash of all the preceding blocks. This novel block is at that time added to the chain of existing blocks and thus becoming part of the blockchain.

Q: What Are Mining Pools? Why Do People Mine Cryptocurrencies?

A: Mining pools consist of a group of people who work together to mine cryptocurrencies. They share resources and profits (if any) in proportion to their contribution. There are two reasons why people mine cryptocurrencies: it's either to earn money or because they support the technology behind it.

The first reason is obvious — if you join a mining pool, you can receive a reward for the work that your hardware has done. Each cryptocurrency has a different method of rewarding miners, and there's no way to know which will be the most profitable one when you start mining. Some cryptocurrencies are designed to have a specific block time and difficulty that changes over time, while others are not. This latter allows to mine them almost indefinitely as their block rewards will continue growing with the value of their coins.

A lot of people mine cryptocurrencies because they support blockchain technology and think it has great potential in the future. They want to support the growth of the industry and earn money in the process.

Q: How Do You Mine Cryptocurrency?

A: You can choose to mine cryptocurrencies by yourself, or you can join a mining pool if you don't have hardware that's capable of mining profitably. If you're looking to join a mining pool, make sure they have a stable reputation as many pools have a recent history of problems with hacking and stealing coins. You ought to make sure that your pool has an automatic payout configured so that coins will be sent to your wallet on a regular basis.

As far as mining cryptocurrency by yourself is concerned, you need to have suitable hardware and enough technical knowledge of how the particular cryptocurrency works. Mining profitability depends on a number of factors — the most important one being the cost of electricity, as it determines how profitable it is to mine one currency in comparison with other ones.

There are several websites that show you how much money you can earn by mining different cryptocurrencies. They also display which ones are the most profitable now and in the future.

Q: How Do You Invest in Cryptocurrencies?

A: Cryptocurrencies can be bought using fiat money (government-backed currencies such as the USD, EUR, etc.) or other cryptocurrencies. The first option is the most popular and it's used by both beginners and experienced traders. When you buy cryptocurrency using fiat money, you're basically buying it from a cryptocurrency exchange, which accepts regular currency in exchange for cryptocurrency. These exchanges are designed to be as secure as possible because they store their clients' funds and need to comply with all applicable regulations regarding client identification, anti-money laundering, and KYC (know your customer).

Q: What Is the Best Cryptocurrency Exchange?

A: The best cryptocurrency exchange depends on your needs. If you are searching for a dwelling where you can make fiat currency deposits and withdrawals (bank transfers, credit cards, or similar), then you'll want to go with a reputable exchange that accepts those payments. This includes Coinbase, CEX.io, Gemini, and Coinmama. If you want to trade for cryptocurrencies with other cryptocurrencies in an all-digital environment, then you might want to check out Binance or Poloniex.

Q: How to Find Reputable Cryptocurrency Exchanges?

A: Unlike fiat money, which is regulated by governments and banks, cryptocurrencies don't fall under the regulations of these conventional financial institutions. However, they still have to abide by rules and regulations that have been set up by the crypto industry. This can be seen in the form of self-regulations that have been adopted by most major cryptocurrencies such as Bitcoin, Ethereum, Ripple, and Litecoin. The majority of people who trade cryptocurrencies use regulated exchanges because it means their coins are always safe from theft or hacking.

Q: Are Cryptocurrency Investments Safe?

A: The security of cryptocurrencies depends on the method you choose to store them. It's best to use cold storage such as a hardware wallet as much as possible because you can keep coins there that you aren't currently trading. Hardware wallets are much more secure than online/hot wallets which can be compromised remotely. If you save your coins on an exchange, make sure to enable two-factor authentication, set up a strong

password, and always check for regular updates. Other ways to secure cryptocurrency include using a hardware wallet (which is not connected to a computer) or using a paper wallet.

Q: When is the Best Time to Buy Cryptocurrencies?

A: It depends on your goals and expectations. If you believe in a cryptocurrency and see a good potential for it to grow in value, then there's probably no better time to buy than now. However, if you're planning on using cryptocurrencies for everyday transactions, it's probably not a good idea to invest heavily into them yet because they aren't widely accepted at the moment. The common custom is that you should only invest the money you can afford to lose because cryptocurrency prices fluctuate quite frequently.

Q: Why Are Cryptocurrencies so Volatile?

A: Cryptocurrencies fluctuate because of the same reason why fiat money fluctuates — supply and demand. When demand for a cryptocurrency increases, its price will also increase. Alternatively, when the amount of that cryptocurrency in circulation decreases (due to coins being lost or stolen), then its price begins to decrease.

Q: Why Is There an Exponential Rise in Cryptocurrency Prices?

A: The main reason why cryptocurrencies have risen exponentially over the past few years is that more and more people are beginning to see their true potential and recognize their huge benefits over fiat money such as national currencies. With the rising fame of cryptocurrencies, more businesses are beginning to accept them as a form of payment.

Q: What Is Meant by “HODL?”

A: In cryptocurrency terminology, HODL is an acronym for “Hold on for Dear Life.” It refers to holding onto coins rather than selling them or trading them. It was first coined in 2013 by a cryptocurrency trader who was trying to encourage people not to panic at the time because the price of bitcoin dropped by 21 % over a period of just one week. The trader said that people should hold on and that it would be great if they could HODL during

this difficult time. If people had listened to his advice, they would have more than tripled their gains since bitcoin reached a high of \$19,097.21 on December 17, 2017.

Q: What Is the Benefit of Cryptocurrencies Over Paper Money?

A: Cryptocurrencies are better than paper money in many ways such as transaction speed and simplicity.

- **Transaction Speed:** When an individual sends fiat currency over to another person or a business via the banking system, it may take several days for that person or business to actually receive and spend the money being sent. But when sending via a cryptocurrency, the transaction can be completed in as little as minutes.

Cryptocurrencies are also popular with the younger generation who have grown up with digital technology. They prefer to get their currency and spend it without delay.

- **Simplicity:** When you want to send money, all you need to do is go to your wallet or your bank account and click the send button before you enter the recipient's address and how much you wish to send. The recipient will then similarly have to open their wallet or bank account and click on the 'receive' button before sending an address to which you can send this money.

Q: What Are the Benefits of Cryptocurrencies Over Gold?

A: Cryptocurrencies like Bitcoin and Litecoin have many advantages over gold. Gold is a precious metal that offers a store of value as it can be exchanged for other items or services. However, it's not easy to send gold to someone else as you must deal with delivery companies and banks. Furthermore, when you buy gold, you take on the physical risk that comes with storing it in your home or elsewhere.

Regarding ease of use, cryptocurrencies are far superior to gold. When you want to send gold to someone, you must physically transport it to them and that can be hard to do in some cases. You also need to see that your gold is well protected at all times. Cryptocurrencies, on the other hand, allow for traders to easily transfer money around the globe within minutes.

Q: How Do People Acquire Cryptocurrencies?

A: There are several ways people acquire cryptocurrencies. The first way is through mining. It is also used for the cryptocurrency networks that allow new coins into their market. This happens in a process known as “mining” where the computers are used by cryptocurrency enthusiasts who solve complex mathematical equations. Miners verify the ledger of transactions to ensure it’s all correct. In exchange for solving these mathematical problems, the miners receive a small amount of cryptocurrency in the form of a reward.

A second way to get cryptocurrencies is by buying them from an exchange that deals with cryptocurrencies and has a market value based on the current market prices. This is basically how people acquire any stock or currency. Finally, people can sell products or services in exchange for cryptocurrencies. There are different forms of this such as accepting cryptocurrencies directly or offering some sort of discount if customers pay using them.

Part 3: Crypto Trading

Chapter 10: How to Build a Portfolio

What is a Portfolio in Cryptocurrency?

A cryptocurrency portfolio is a collection of cryptocurrencies that an individual holds. It may be a diversified investment vehicle, or it may be used to track the values of the holdings to determine profit and loss.

What are the Different Types of Cryptocurrency Portfolios?

There are two types of portfolios: Technical Analysis Portfolios and Fundamental Analysis Portfolios.

1. Technical Analysis Portfolio

A Technical Analysis Portfolio is created by buying a certain number of coins based on the analysis of price charts. Typically, technical analysis involves price patterns that indicate whether the coin will be increasing or decreasing. Technical charts are popular among people who use bots to conduct arbitrage trading. An arbitrage trader is someone who simultaneously buys and sells an asset to profit from the mismatch in the price across exchanges.

2. Fundamental Analysis Portfolio

A Fundamental Analysis Portfolio is created by buying certain coins because you believe in their fundamentals. Fundamental analysis involves looking at the history of a coin or an investment and determining the reason for its price.

For example, you might buy Bitcoin because you believe it will be accepted as a form of payment, or own Litecoin because you think it will be used as a form of payment.

How to Build a Portfolio?

There are three steps to building your own portfolio in cryptocurrency: (1) Create an account on an exchange; (2) Purchase your first coins, and thirdly (3) Start investing your coins.

Where to Create an Account on an Exchange?

Each exchange has a different process for creating a new account. If you are using Luno, then [click here](#). On Coinbase, [click here](#). On Poloniex, [click here](#). If you are using Binance, [click here](#). Our recommendation is to use Coinbase or Poloniex — these two exchanges process thousands of transactions per minute and have a simple user interface with similar functionality across each platform. They also have the most trading pairs for Bitcoin.

How to Use an Exchange?

Exchanges can seem daunting with so many features and functions, but there are essentially only four things you can do on an exchange: (1) Deposit; (2) Buy; (3) Sell, and (4) Withdraw. We will look at how to perform these actions below.

Deposit BTC onto your Account: Deposit Bitcoin into your account by going to the “Balances” page, searching for and clicking the bitcoin icon, then clicking “Deposit.” This will bring up a wallet address where you can send bitcoins from your personal wallet or exchange account.

Note that you can deposit bitcoins from an exchange account or your personal wallet.

Buy BTC: To buy BTC, you need to go to “Exchange” and enter the amount of BTC you want to buy, and click “Buy.” Also, if your country doesn’t support Bitcoin, you can always purchase it on a different exchange with a different currency by clicking the currency symbol (the yellow one) for Bitcoin, then clicking “Buy.”

Sell BTC: If you want to sell your coins, then simply go back to the “Balances” page and find the bitcoin icon, then click “Sell.”

Withdraw BTC: If you want to withdraw your cryptocurrencies to a personal wallet, then click “Withdraw.”

At this point, you’re ready to start investing in cryptocurrencies!

Keeping Track of Your Portfolio Value and Profit/Loss

Since crypto coins are volatile, it is important to track the value of your portfolio as time passes. You could track the value in fiat currency (for example, USD) or cryptocurrency (BTC or ETH). We will look at both

methods of tracking here and give our recommendation for which one you should use.

Chapter 11: Passive Income with Coinbase

Coinbase and Coinbase Pro are both user-friendly secure platforms for Cryptocurrency exchanges. Both platforms are two of the most popular ones for buying, selling, and storing Cryptocurrencies, such as Bitcoin (BTC), Ethereum (ETH), Litecoin (LTC), and so on. And they're both created to make trading and investing of cryptocurrencies simple for users. Billions of dollars have been traded on both platforms for the past year. These two platforms are very efficient, accessible, and transparent for crypto financial transactions.



Coinbase Pro — Trading Platform

Though Coinbase and Coinbase Pro are both owned by the same company (Coinbase Global, Inc.), they have been built with some differences. Coinbase was developed before Coinbase Pro and it is specifically the most suitable for new users who want to invest and make their first purchase. Coinbase Pro is a more technical one. It is designed to suit professional crypto traders more. Unlike Coinbase, it isn't really fit for beginners but for experts or the experienced traders of Cryptocurrency.

Both platforms have a variety of benefits and privileges. Apart from the easy buying and selling feature, they both allow you to keep track of your digital currencies (crypto), with vault protection feature for added security, can be download as an app to your Android or iOS, Cryptocurrencies stored

on them are protected by the company's insurance policy, sales of a variety of digital currencies, open to over a hundred countries, and so much more. Both platforms are essential if you really want a clean Cryptoeconomy journey, they are very necessary to possess at one's disposal.



Coinbase IPO will be listed on NYSE NASDAQ on April 14th, 2021. Utilize Coinbase as your Crypto Currency Exchange Broker and now you can invest in your own Coinbase Wallet on the NYSE NASDAQ, earning you even more proceeds on both ends. This is my Golden Ticket recommendation.

Moreover; here are my Golden Ticket CryptoCurrency recommendations of crypto long and/or short-term trading/Investments that you must have when building your personal Coinbase portfolio that will make you a millionaire:

Bitcoin, Ethereum, Cardano, Decentraland, Ankr, Chainlink, Polygon, Stellar Lumens, The Graph, XRP, Polkadot, THETA, Dogecoin, VeChain, IOTA, Chiliz, Enjin Coin, Theta Fuel, Solana, Holo, Binance Coin, Tether, Tezos, Cosmos, Compound, Stablecoins and Ethernity Chain. (Basically, any ALTcoin over \$3 billion Market Cap you should be good to go with long-term investing on that coin.) ALTcoins will be outperforming after Bitcoin hits its peak this fall season, and then all the ALTcoins will rise and go parabolic. So, now is the time to get in on all ALTcoins, be sure to check to make sure the market cap is in the \$ Billions of dollars before purchasing. Wait until the coin price drops low to take a position for

maximum gains in October 2021. We are following the 2020 Bitcoin pattern last year where Bitcoin always peaks in the Fall season and then the ALTCoins will peak and go parabolic after Bitcoin falls. This is my Golden ticket statement for my readers. My recommendation is to buy now and watch your money grow in cryptocurrency 10x more than the conventional NYSE stock market. If you're a trader, buy now with ALTCoins and then get ready to sell some or all in October 2021 and thereafter. I recommend if you're wealthy, stick with buying Bitcoin and Ethereum; however, if you're just starting out with less cash then going all-in on the ALTCoins route will be just fine for you. However, continue to buy Bitcoin and Ethereum in fraction of a coin is fine as well. Having .01 Bitcoin will be enough to make a handsome profit.

My recommendations are that you buy at least 1,000 to 10,000 or more coins of each ALTcoin as you can so that when October comes, you can sell 10% each time the price goes parabolic or just sell it all. It depends if you are a trader or a long-term investor. But in most cases, the price will go up and up and you would have already sold and wished you had held onto them longer to sell at the highest price possible, with Cryptocurrency the sky is no limit here...

Note: Bitcoin and ALTCoins do very well in the Bull Market; consequently, in the Bear market, Bitcoin upholds more value than ALTCoins. So be careful, if you're a trader you want to sell all in October because once the price drops in the bear market, your ALTCoins will drop down to 98%.

My prediction is that Bitcoin will rise to \$75k in the summer months. Word is out that Walmart the Mega Retail Store has just purchased 1 billion Bitcoin. Looks like Walmart will be accepting Bitcoin for their product purchases very soon. This means the price of Bitcoin is going up to \$75k very soon. Therefore; keep buying Bitcoin before the supplies run out as more and more retailers and corporations join in with us and buy out Bitcoin in the coming months of 2021. Bitcoin price will rise to \$100k by end of 2021 and this is my golden ticket statement.

Chapter 12: How to Buy, Sell, and Trade Crypto on eToro

eToro is a trading platform that focuses on collective learning, basically functioning as a social network of traders. It also offers the possibility to buy Bitcoin and other cryptocurrencies with fiat currencies, such as the dollar or the euro, and transfer them to your eToro Wallet.

Being a social trading network, you will be able to explore the profiles of the different market operators within eToro, find information about their performance as an investor, and copy all the operations they carry out on the platform.

Within eToro, you can trade with cryptocurrencies such as Bitcoin, Ethereum, Dash, Litecoin, among others.

In addition to this, you will have eToro Wallet, a cryptocurrency portfolio that allows you to store more than 120 different crypto assets, this being the only wallet available to withdraw purchased cryptocurrencies — only those that you buy without leverage — within eToro. This portfolio works like any other, and the only requirement to obtain it is to have a verified eToro account.

How eToro Works

eToro, as you must be clear at this point, is a trading platform, that is, where you can buy and sell the different assets that are traded here (we will delve into them). However, one of the most striking parts that eToro offers and differentiated it by far is its interface based on a social network.

eToro User Interface

Within the eToro account, you will find the People section, where you can find the traders (with a public profile) with the best ratings, organized into categories such as: most copied, best investors, or lowest investment risks. In each operator profile, you will be able to see relevant data regarding their investment statistics, risk levels, percentage of profits, as well as the markets in which they are operating or usually operate.

Likewise, when entering the financial instruments available on eToro, we can see that they have sections specialized in sharing information (News section), which Facebook wall it is. In this section, you can see reviews of the instrument, investors, and other relevant data that help you do your own study without neglecting, of course, the technical analysis tools such as the statistics, graphs, and research section.

Grow as a Trader by Copying the Best with CopyTrade

Within eToro, you will base your growth as an investor on collective learning. And, as we said, you can copy the different users within the platform. Each public profile of traders within eToro has the option to Copy — or add \$ if you are within the operator's profile. This option allows you to assign an amount of your capital (the one you want) to said operator, and thus imitate in real-time all the transactions that it performs. This option is called CopyTrade.

The minimum amount to copy is USD 200

Also, within the amount you assign to copy a user, you can also define the minimum amount you will stop copying, something similar to Stop-Loss orders (Stop loss). This avoids losses in case the operator obtains negative profitability.

How CopyTrade Works

Once you have chosen the investor to copy to and defined the amount of money to CopyTrade, you will see the different people you copy within your portfolio. In each one, you can see the open orders, as well as the position in which they are (Buy or Sell), and the amount of money assigned to the position. You can copy up to 100 investors at a time.

The money you allocate under a CopyTrade will be segmented according to the size of the position opened by the trader you are copying. This means that the orders that the copied investor opens will be proportional to the amount you assigned. For example: if you allocated USD 1000 and the user buys USD 1000 in Bitcoin, but this order occupies 10% of their capital, then the order that will be opened in your copy will be USD 1000.

Likewise, within the CopyTrade, you have control over the copy; this means that you can stop copying, or withdraw, or deposit more money to a copy operation at any time you want.

CopyPortfolio: Copies for Professionals

If you actually want to go a step further than just copying investors on eToro, you have the option of CopyPortfolio. This option is intended for safer long-term investments. There are only two types of instruments: TopTraders, which groups the best-performing investors, and Market, which is a compendium of the best-performing assets, such as stocks, CFDs, commodities, and ETFs. Cryptocurrencies are not listed on CopyPortfolio.

The minimum investment of CopyPortfolio is USD 5000.

Earn Money Being Copied

Within the eToro community, there is the possibility of generating income by being the one who is copied. This allows you to earn up to 2% of the capital you are managing from your copiers.

Trade Bitcoin and Cryptocurrencies on eToro

Something particular that happens when trading cryptocurrencies on eToro is that you do not always trade with the underlying asset. If you are using eToro Europe or eToro UK, all purchase operations without leverage are made with the underlying asset; that is, you acquire the crypto asset directly. Otherwise, in any other part of the world, you trade CFDs in purchases with or without leverage.

Sell operations can be done directly from purchased cryptocurrencies (which you have not withdrawn) on eToro UK. In the rest of the world, like eToro Europe, sales are made only through CFDs.

What are CFD Contracts?

You may be a bit confused at the moment with the concept of CFDs, so we will explain quickly. A CFD is a contract between parties where an entry price and an exit (closing) price are agreed upon, and profits or losses are obtained from the price differential. This allows you to trade assets, in this case, cryptocurrencies, without owning the asset as such.

These contracts do not change the way you operate within eToro at all; the only difference is whether or not you own the asset. This is also reflected in the fact that when buying or selling, you do not manually define the entry price since you only have to indicate the amount of the asset to trade since the platform sets the entry price.

Buy Cryptocurrencies on eToro and Deposit Them in Your Wallet.

As we explained well, in eToro, it is possible to buy cryptocurrencies. This depends on where you are since this feature is only available for eToro Europe and eToro UK, and as long as you have bought cryptocurrencies without leverage.

Another important aspect to highlight is that you can only withdraw the cryptocurrencies to the eToro wallet, which is the platform's own; once there, you can send them to the wallet of your choice.

eToro Wallet

eToro Wallet is a cryptocurrency wallet in which you can store more than 120 different cryptocurrencies and is available for Android and iOS. With this, you can enjoy the advantages that eToro offers you, such as being able to exchange cryptocurrencies directly from the wallet at an exchange rate within eToro.

eToro Wallet is a custodial portfolio; that is, the private keys of the addresses generated here are stored within the eToro servers. Likewise, to use eToro Wallet, you will need to have your verified eToro account since, within the application, you log in from your credentials within the platform.

Cryptocurrencies within eToro Wallet cannot be deposited on the eToro exchange platform.

Other Markets Available Within eToro

In addition to being able to operate with cryptocurrencies, within eToro, you can also invest in:

- Shares (They are traded with CFDs or with security in your name on the purchased share, certain conditions apply).
- ETF (CFD).

- Indices (CFD).
- Raw materials (CFD).
- Currency (CFD).

Chapter 13: Crypto Trading Strategies

The cryptocurrency trading industry is one of the most rapidly expanding industries on the internet today. Trading is a simple process that can produce massive profits. In fact, according to Bitcoin Market Journal “Bitcoin volatility has averaged at around 47%, while other asset classes such as stocks and gold are much more subdued with an average 13% volatility each.” This means that bitcoin traders have an easier time making money than traders in other sectors of the market!

Here, we will teach you ten strategies for trading cryptocurrencies like bitcoin so that you cannot only make some money but also educate yourself on this new financial frontier.

Strategy 1

The first strategy you should learn is called “Leveraging.” Leveraging means borrowing extra money to trade more and make more profits. This strategy is powerful because as your capital starts to increase, your trades will also increase.

For example, let’s say that you have \$100 which you would like to invest in bitcoin. You can start with a leveraged position of just 1%. That means that if the bitcoin price shoots up, you can continue to hold the rest of the bitcoins and see a larger profit. This is definitely a great way to get started in the world of bitcoin trading.

Strategy 2

The second strategy you should learn is called “Margin Trading.” Margin trading means that instead of borrowing money from a bank or from other people to invest, you use your own money. This strategy requires that you have an adequate amount of money in the account, but it also allows for more profit potential.

Margin trading can be done using two different methods: Leveraged or Unleveraged. These terms are easy to understand if we take them one at a time.

For example, let's say that you want to buy bitcoins. You have \$100 in your account which you use to buy bitcoins for \$10. You also have a standard loan of \$2,000 (in this example) which you can then leverage. This means that if the bitcoin price shoots up, you could purchase additional bitcoins with the remaining \$8 and see another profit.

Strategy 3

The third strategy does not require too much money as long as you understand the basics of trading in the first place. That strategy is called "Day trading" and it is very similar to "Leveraged" strategies written above but there are some key differences between these two strategies.

Let's use the same situation as before, only this time, instead of using a leveraged position, we will be using a day trading strategy. You must understand that there is a difference between these two strategies, and when you use them, you must be aware of the risks involved.

For example, if the bitcoin price shoots up from \$10 to \$15 in one hour, then you can sell your bitcoins for \$15 profit in an hour. This is an excellent way to make some money while still holding onto your bitcoins (since they are going up in value) and can be done consistently over time.

Strategy 4

The next strategy is called "Long/Short" trading. This means that cryptocurrency traders use two different trading strategies at the same time. The way these strategies are used is by creating a long position to buy a cryptocurrency and a short position to sell a cryptocurrency. If you have enough capital, then you can beat the market by taking both positions for the same amount of money. These types of traders will create a balance between their long and short positions to make more profit over time (through earning interest on the capital), and they decrease risk by selling bitcoin when it falls in value and buying bitcoin when it shoots up in value.

Strategy 5

The fifth strategy is called "Buy the Dip." Trading works when you can identify the "Rise" and "Fall" of bitcoin. When you see the price decline, this is a great time to buy a little (depending on the amount that you have).

As soon as the price shoots up again, then you can sell some of your bitcoins for profit and wait for the next dip. This strategy allows cryptocurrency traders to make money consistently while decreasing risk at the same time.

Strategy 6

The sixth strategy is called “Hedging.” This means that you use two different strategies at the same time which helps to hedge risk. Using a long position to buy bitcoin helps to hedge risk because if bitcoin price shoots up, then you can sell your bitcoins for profit and earn interest on your capital. At the same time, using a short position in order to sell bitcoin benefits from a fall in price and can be used to hedge risk at the same time as well.

Strategy 7

The seventh strategy is called “Day trading again.” This is the opposite of the “Buy the Dip” strategy above. Day trading works by buying small amounts of bitcoin on a consistent basis to make a profit while decreasing risk. By day trading, you will find that your profit potential increases over time and you can make more money than doing “Buy the Dip” methods in a short period of time.

Strategy 8

The eighth strategy is called “Hedging again.” This means that if you are working with large volumes of money, then it would be ideal to use different strategies for each type of trade so that you can protect your profits from being lost under certain conditions. Since risk is reduced by using different strategies, you can have greater profits over time.

Strategy 9

The ninth strategy is called “Investing” and it is similar to the “Hedging” strategy above. The difference between these two strategies is that when you invest, you buy large amounts of bitcoins in order to make enormous profits in a longer period of time. Since these transactions happen over long periods, it makes more money available for making larger profits.

Strategy 10

The tenth and final strategy is called “Long/Short investing” and combines the first two strategies mentioned (long/short trading). It also works well because you can make more money by making smaller trades on a consistent basis for a longer period of time. When you are using the strategy of “Long/Short investing,” you buy bitcoin with the money that you have in order to make money, all while the market is going up or down. By doing this, it helps to reduce risk because you are buying bitcoin at a high price but selling it at a low price.

In conclusion, there are thousands of different strategies that can be used to make money while still holding onto your bitcoins. The last thing that you want to do is sell your bitcoins in order to buy some new ones at the same price that you are trading them for. This strategy defeats the purpose of buying bitcoin in the first place and takes away your chance to make steady and consistent profits over time.

The best thing about cryptocurrency trading is that it provides individuals with a whole new way of making money over time through speculation on bitcoin price movements. The simplest way to make money is to buy some bitcoins and hold onto them for a period of time while you make a profit by using multiple strategies at the same time.

When you use multiple strategies together, then this takes away the risk and increases your profit potential over time. Even if the bitcoin price falls to zero in value, then you can still use these strategies as long as it is possible to access an online trading account from anywhere in the world through a stable internet connection. With that being said, be careful when using cryptocurrencies because there are risks involved, and it should not be treated like a get-rich-quick scheme.

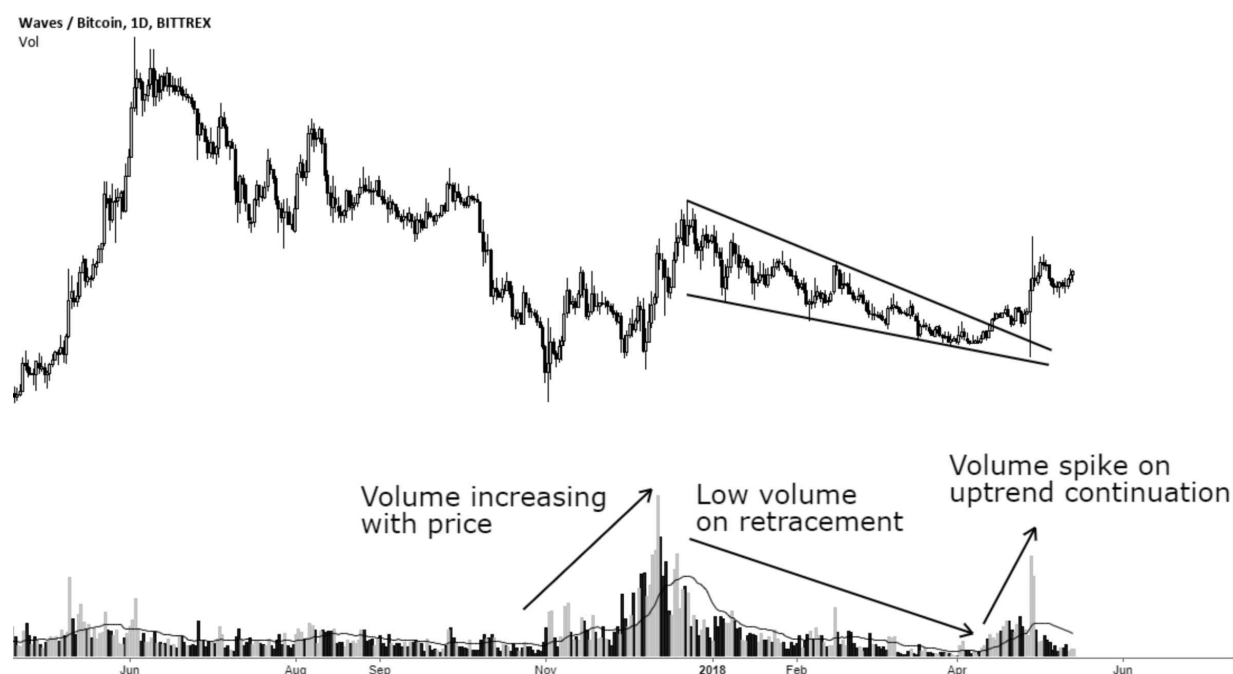
Chapter 14: How to Read Volume

Volume is one of the best strength indicators out there. It is a measurement of how much a given coin was traded during a specific period. The more volume there is in a particular market, the bigger liquidity is; therefore, it is easier to enter/exit or day-trade. It is mostly used to evaluate if the current price action is valid and helps in confirming reversals and breakouts.

Volume profiles look differently in an uptrend and downtrend. They present as follows:

Uptrend — volume increasing along with the price, declining when the price dips

Downtrend — volume increasing when the price falls, and decreasing when it raises

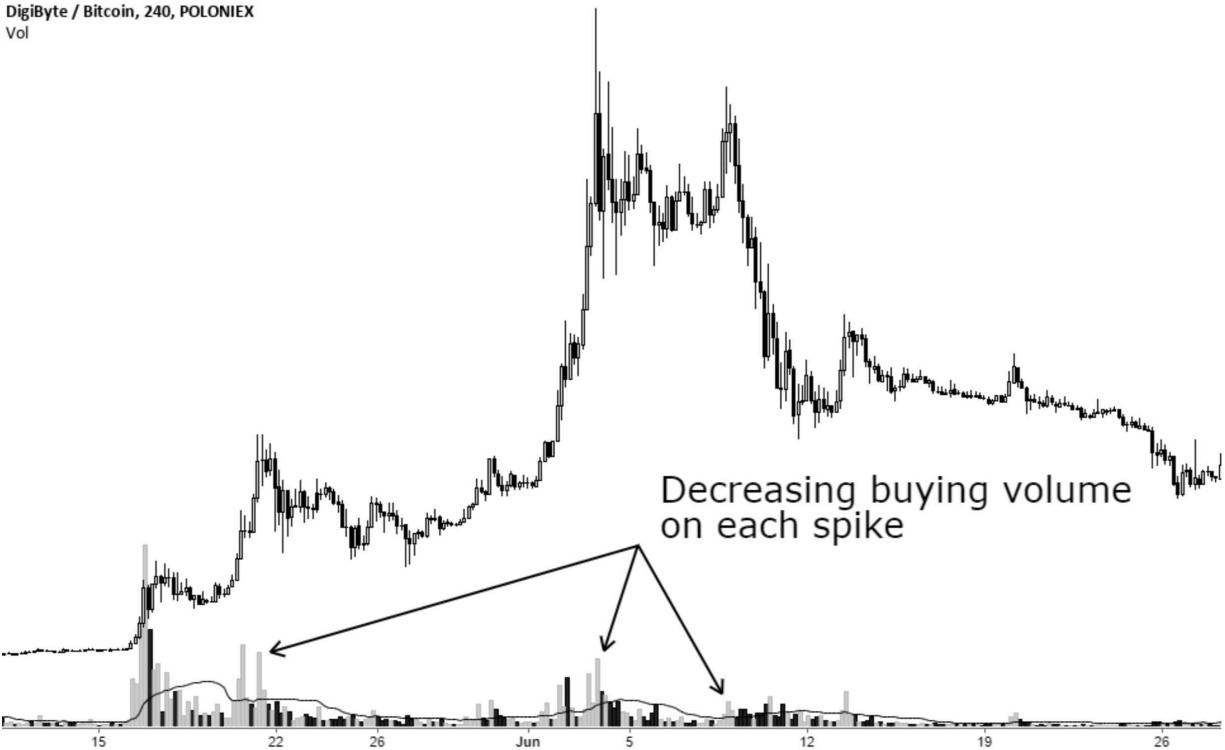


Bitcoin / Dollar, 30, BITFINEX
Vol



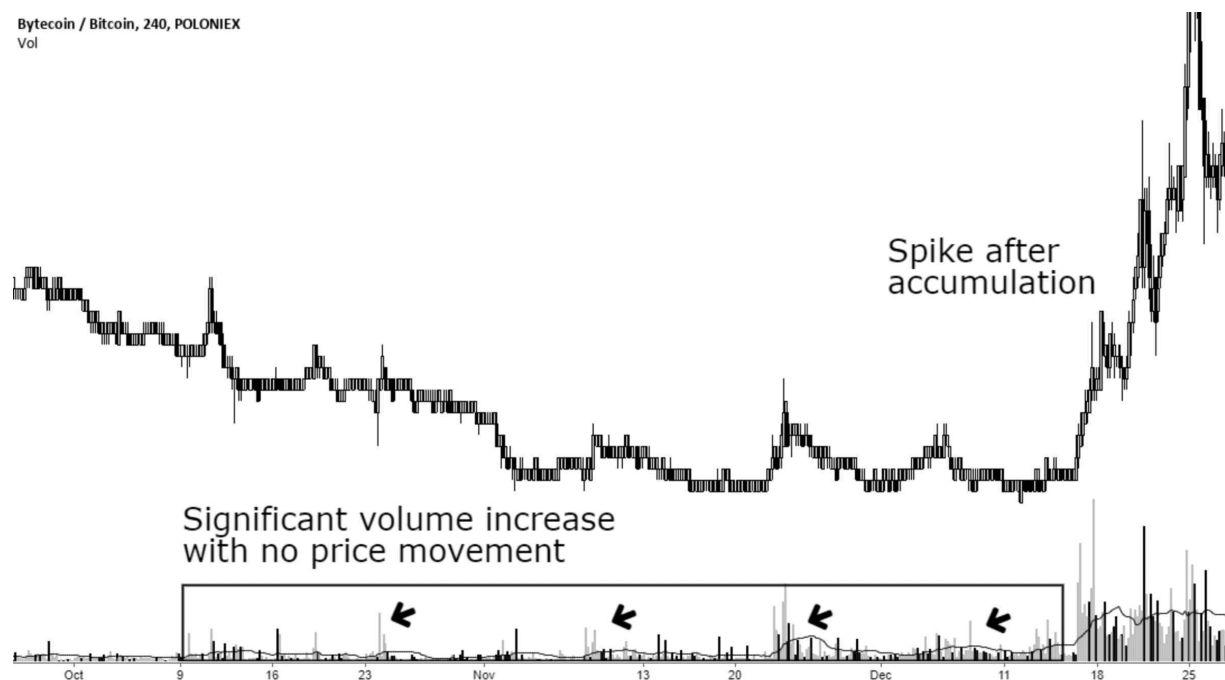
When the price is making new highs with the volume being lower than the preceding spikes, it is an indicator of decreasing buying pressure and possible retracement. This should be traded carefully and possibly confirmed with other tools if the trend is weakening.

DigiByte / Bitcoin, 240, POLONIEX
Vol



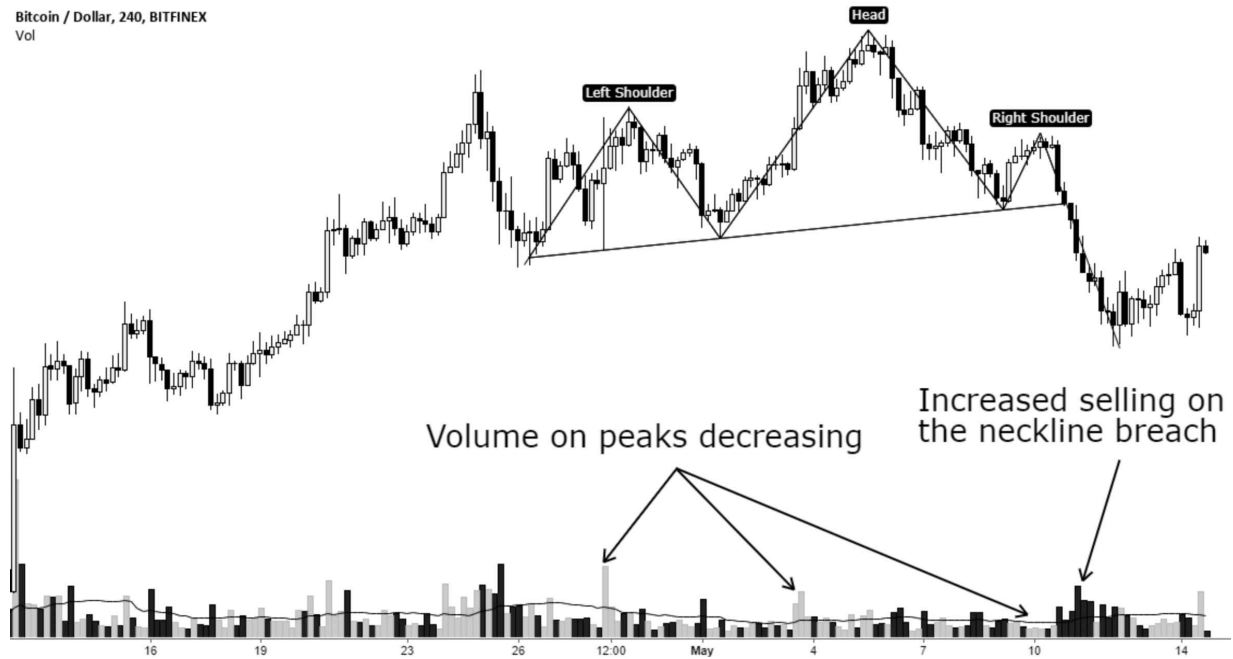
This confirms one of the primary rules of volume — volume proceeds the price. Whether it is decreasing buying pressure on a new high, or increasing one while the price is still stable; the volume gives signals about upcoming price action. It should be watched closely during the consolidation period for some accumulation signals as they can be very visible on low liquidity markets (some coins manage to do 3/4/5x while still being only on a few BTC value volumes).

Bytecoin / Bitcoin, 240, POLONIEX
Vol



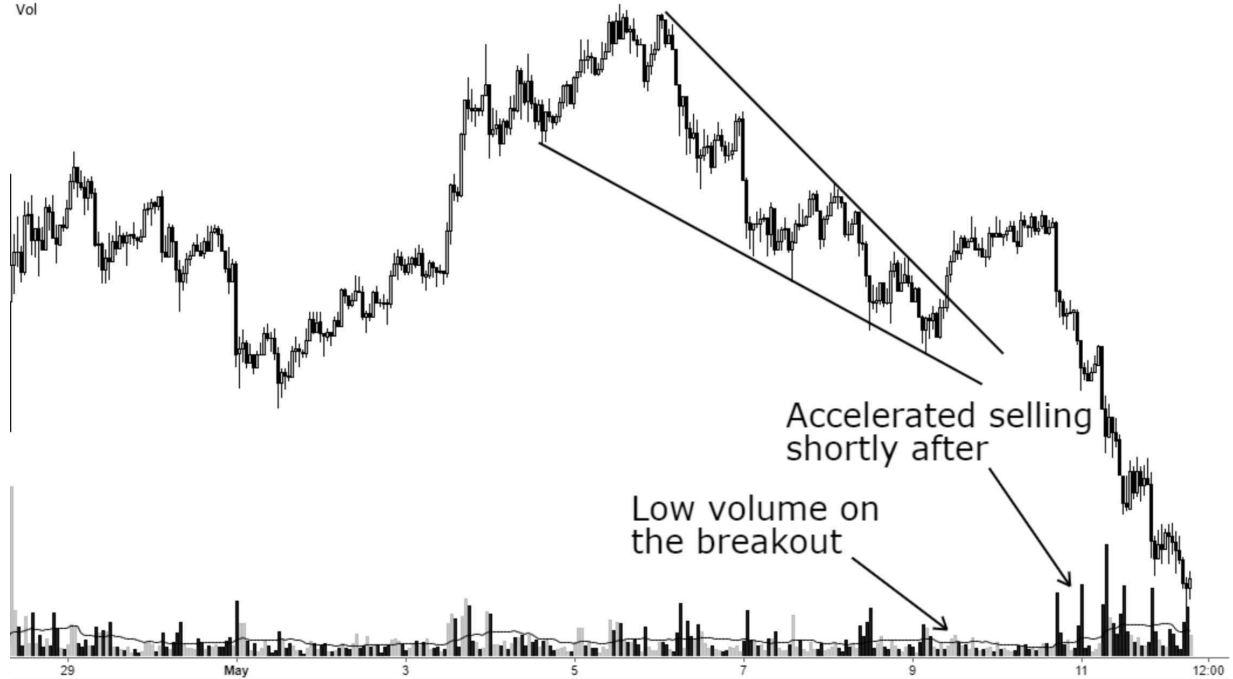
The volume also works as a pattern confirmation as we mentioned in the earlier segment. Every pattern has a volume profile that makes it more probable. On bullish pennant, this means decreasing volume during the consolidation, while on Head and Shoulders the buying volume is diminishing with each peak and increasing on the neckline breach.

Bitcoin / Dollar, 240, BITFINEX
Vol



The volume also decides if the breakout from the pattern is not a possible fake-out. What it means is that often the price tends to convincingly escape the pattern just to reverse and go the opposite direction quickly. It is a way of trapping traders that can be easily avoided by watching volume during the breakout. If it is low, there is a very high chance that you are dealing with a fake-out, which will see an increased volume spike shortly while going the opposite way. If it is high during the breakout, the pattern usually is valid and will continue its movement direction.

Bitcoin / Dollar, 60, BITFINEX
Vol



Fake-out is a term that applies not only to patterns but any price movement that goes the opposite direction as the setup would suggest. Depending on which way the price decides to go, this move is also called either a bull trap (upwards move followed by a dump) or a bear trap (downwards move followed by a pump).

An alternative to the regular volume is the On-Balanced Volume (OBV) tool that measures total buying and selling pressure on the market. It works accordingly to all the rules that we listed in this segment; i.e., volume rising along with the price, volume proceeding the price, etc.

OBV can be analyzed with support/resistance zones like any other chart. If the OBV is in the uptrend along with the price, the breakdown of the trend suggests a price drop as well. As the volume proceeds the price, the divergences occurring on the OBV also often point at the potential upcoming reversal.

Divergence — a situation where the price and indicator are moving in different directions. It can be either positive or negative depending on the direction of the movements. It shows either a trend weakening or gaining more momentum.

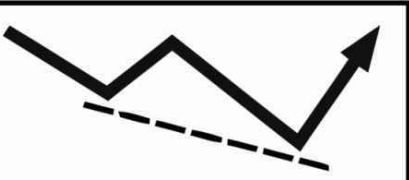
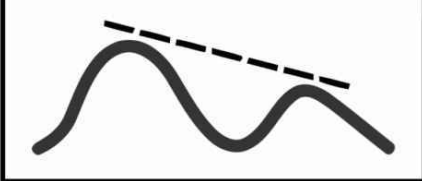
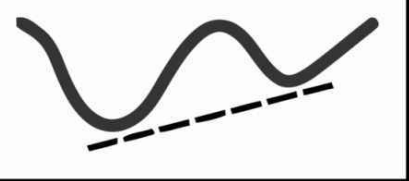
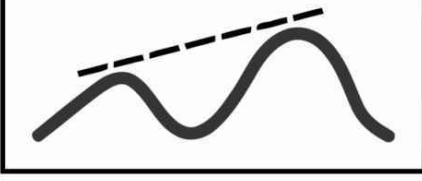
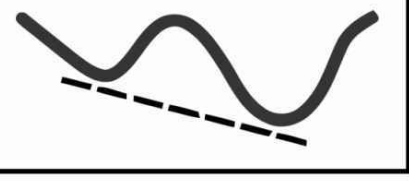
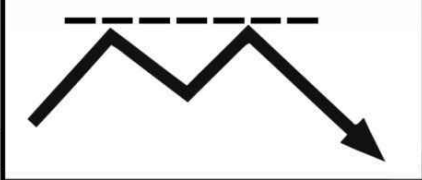
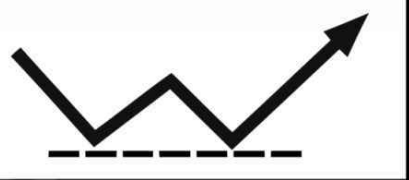
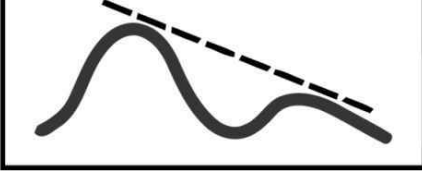
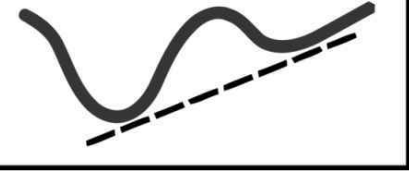
Bullish divergence — lower lows in price, higher lows on the indicator. The bearish trend is weakening.

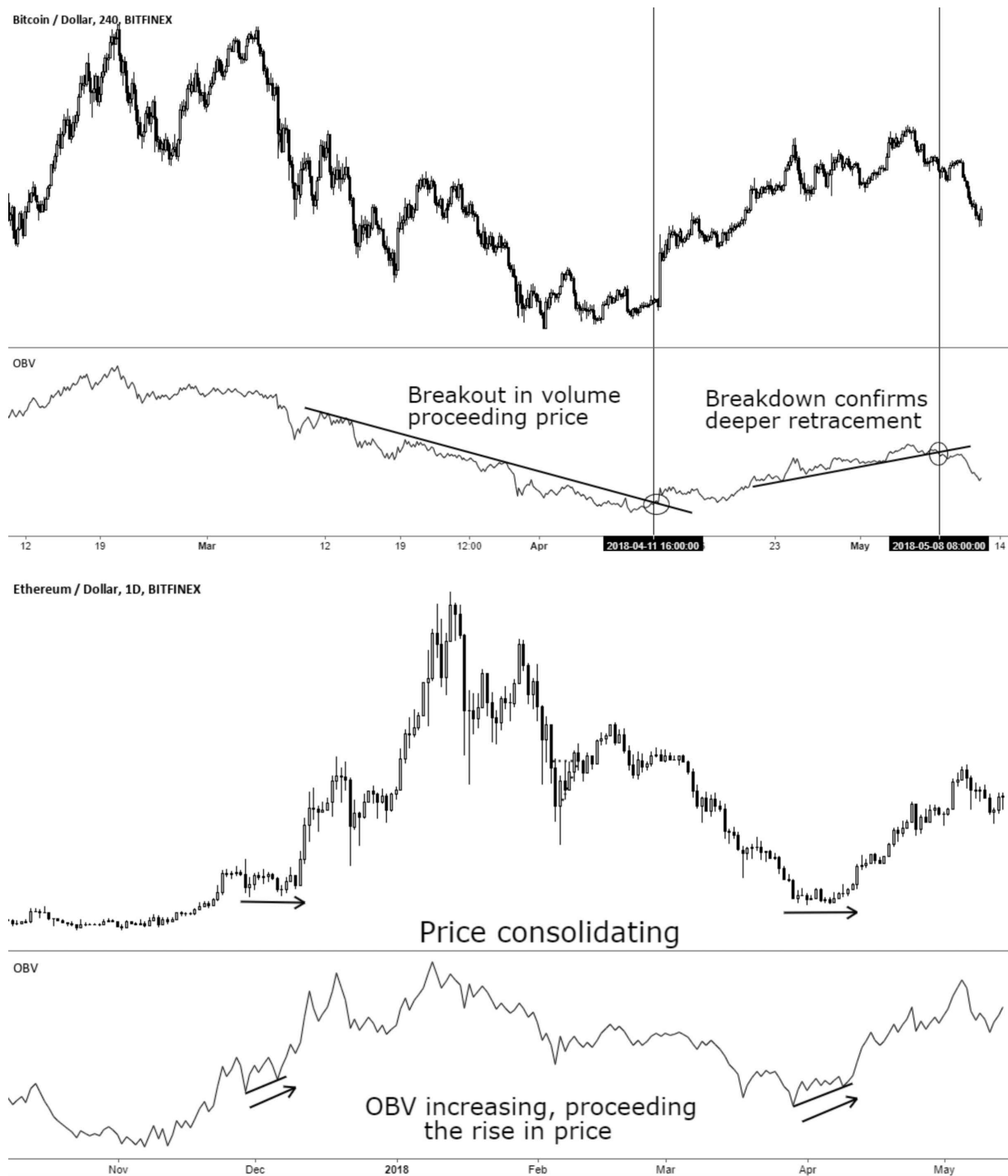
Hidden Bullish divergence — higher lows in price, lower lows on the indicator. The bullish trend is getting stronger.

Bearish divergence — higher highs in price, lower highs on the indicator. The bullish trend is weakening.

Hidden bearish divergence — lower highs in price, higher highs on the indicator. The bearish trend is getting stronger.

Divergence Cheat Sheet

	BEARISH	BULLISH
Regular Divergence		
		
Hidden Divergence		
		
Exaggerated Divergence		
		



It is a very simple tool that often shows signals that would be hard to spot on a regular volume. As always, we suggest using it with other indicators for more confirmation, but it is a valuable tool to any trader's arsenal.

Chapter 15: Understanding Trends

If you had to choose only one tool for trading, this would be the one you would choose without any doubt. The more you perfect your ability to find resistance and support in the price charts, the more likely you are to make successful trades. In the strategy we are designing, we will use this knowledge combined with indicators to decide entry and exit points for trades; therefore, we have to address it that we are talking about technical analysis, and it is very important that you practice to be able to find resistance and support levels in a chart with just a glance. You should be able to find these levels using line charts or candlestick charts. I'm going to give you some basic rules for finding these levels, but first, let's define them.

As you have seen from the price charts, the price never goes up or down in a straight line, but it rather moves in waves. It goes up for a while until it reaches a price, and then it starts to go down until it finds another price, and then it goes up again and so on. This is due to the forces of buying and selling at every moment; that is, the law of supply and demand. If at a given moment many people want to buy Bitcoin and very few want to sell it, the price of Bitcoin will go up. If for any reason many people want to sell their Bitcoin and few people want to buy it, then the price will go down. This is the basis for all price action; the only reason why prices go up or down.

A resistance is a level in the price where we see that it resists going up and even when it reaches that price, it turns around and starts going down. Continuing with the wave analogy, the resistance would be the crest of the wave. A support is the opposite of a resistance. A price level where the price, when it is falling, stops its fall and even goes back up again. It would be the lowest point of the wave. These levels are not exact price levels. They act more like a spring and form zones. If the price is rising, we see that as we approach a resistance level there is more and more selling force; as we squeeze a spring, it becomes more and more forceful in the opposite direction, until there comes a point where the price stops rising and falls. The same thing happens with the supports, so we can imagine the resistance and supports as invisible springs that affect the price as it goes up and down.

Resistances and supports can be broken. If the price action is strong enough, it can break a resistance easily. Remember, this is not an exact science. We are always talking about probabilities. Therefore, when we identify a support or resistance, it does not mean that we are 100% sure that the support or resistance will stop the price action, but rather that there is a higher probability that the price action will change at those levels.

So, how can we identify these levels? The only information we have to identify levels of resistance and support is price history. So, to find them, we have to look at the price charts and find areas where the price has encountered these invisible springs in the past. We can find support and resistance by looking at any periodicity. To look for resistance levels in the past, let's look for situations where the price was rising and found a spring, a top. Maybe the price stayed at that level for a while or went down again, but it didn't go through. We can identify resistance levels because we see that the price reaches the resistance level and can't go above it several times, sometimes further apart in time than others. Sometimes, it goes over the resistance level but comes back quickly, imitating that spring action. To identify supports, we will look for exactly the same price action but in the opposite direction; i.e., when prices are falling. The support or resistance will be stronger the more times we can see that it has managed to stop the price movement. We can also measure the strength of a support or resistance using time. For example, if we see that the BTCUSD price has been trying to pass \$6,500 for three months in the past, but has been trying to pass \$1,000 for eight months, then we can assume that the \$1,000 resistance is stronger than the \$6,500 resistance.

Easy, right? But there's more. Supports and resistances have a very important feature. When price action breaks through a resistance, this resistance level immediately becomes a support and vice versa. In the example above, if the BTCUSD has been trying to break the \$1,000 resistance for eight months, once the price action breaks the resistance, it will turn into a support. And we can see this happening over and over again on the charts. Many times, when a strong resistance is broken, we see how the price, after a rise, goes back down to the same levels of resistance, in this case, already converted into support, and then continues to rise. In the image below we can see the ETHUSD price chart extracted from

Coinmarketcap, where we can see more than four years of price information. Please go to Coinmarketcap or Coingecko or some similar page, open this chart, and try to find the highest levels of support and resistance.



ETHUSD price chart on Coinmarketcap

With just a quick analysis, we see that Ethereum, after a few months at the \$1 resistance, quickly moved to the \$10 level. The \$10 level remained important as support for a year. Once that support was consolidated, Ethereum moved up and seemed to have briefly found resistance around the \$50 level. The \$100 level was a very brief resistance around May-June 2017, but we see that in early 2019, Ethereum revisited the \$100 level, which this time had become support. This quick analysis that we have done is at a very high level. We can do a similar analysis by looking at a shorter period, this way we will be more accurate in finding support and resistance levels, but remember that support and resistance levels are not exact prices, but rather price zones.

You have already found highs and lows, now it's time to find support and resistance levels. Surely by now, you have noticed that many times, the support and resistance levels coincide with round numbers, such as 10, 100, 200, 1000, 2000... especially in the most popular pairs of each cryptocurrency like BTCUSD, ETHUSD, etc. This is simply due to human

psychology. Our mind tends to round off numbers for simplicity and many times when putting buy and sell orders we tend to select round numbers.

If you think about it, you can take advantage of supports and resistances to make trades with a higher probability of profit. You see that the price takes a significant amount of time trying to break a certain resistance. You see that the price has been trying to break a resistance for a long time. Finally, it breaks it, goes up a little, and then falls back to the resistance levels identified earlier. But you know that now that resistance level has become a support. You can deduce that if that support is confirmed — it holds the pressure of the price decline — in the future, the price will rise again because now there is no resistance. This is just a very simple example. You can also identify future resistances to identify possible points to take profit from a trade.

Another key concept is the trend. As we have seen before, prices never go up in a straight line, but rather form waves. They go up, form the crest of the wave, and go back down a bit, then go back up and mark a higher price than the preceding crest, then go back down. When the peaks of the waves are higher and higher, and especially the lower parts of the waves are also higher, this means that we are in an upward trend. An upward trend will generate higher prices every time. On the other hand, if the low parts of the waves are getting lower, and especially the crests of the waves are getting lower, this means that we are in a downward trend; therefore, we will see lower and lower prices.



BTCUSD in a downward trend — line chart

In the image of the BTCUSD chart extracted from Coinmarketcap, we can see several months of prices in a line chart. We see how the wave crests, which I marked with horizontal lines, are getting lower and lower. Clearly, the market for BTCUSD is in a downward trend. But we can see something strange. I have chosen this chart because in it we can see the difference between line charts and candlestick charts very clearly, and we can see how the candlestick charts contain more information. On the line chart above, we can see how in mid-February 2020, there is a higher crest than the earlier one. But when we analyze the same price chart but this time using a daily candlestick chart; in this case, extracted from TradingView (please open the BTCUSD chart in TradingView and make sure you are seeing a daily candlestick chart. Zoom in until you see the period between June 2019 and April 2020) we see that between February and March 2020, the price reached exactly the same point as at the end of October 2019. What happens is that at the end of October 2019, the price went up to \$10,500 and went down again within the same day. We can see this in the candlestick chart because the candlestick tells us both the high of the day and the low, but this information is lost in a line chart because the price marked on the line does not have to be the high of the day, but is usually the closing price of the day which is the price at 00:00 UTC. This is why I recommend using candlestick charts for a more detailed price analysis.

Chapter 16: How to Read Indicators

Finding yourself trading when you discover cryptocurrencies is a very common thing, and the fact that those who approach this type of activity do so thinking of becoming immensely rich in record time is, unfortunately, the same. Even if anyone can learn to exploit the market cycles to profit, it is not certain that all those who engage in this activity will reach the goal. As mentioned before, trading is a system of rules, but since we impose these rules on ourselves, many tend to infringe on them. In any case, the first rule that every trader must follow is "never invest more than you are willing to lose."

The first thing we must do is to learn to read stock market charts which, in jargon, are called "Japanese candlestick charts." Obviously, the price trend can also be graphically rendered by a line graph, but the candlestick charts give us much more information than we could obtain by observing a line.

The reason why these graphs are called this is quite intuitive: the graphic signs (those in colored red and green) resemble candles. Each candle on the chart expresses the price trend in the unit of time defined by the user.

Precisely for this reason, we hear about charts for one hour, four hours, one day, one week, and so on; this is the length of time covered by one candle.

Now, let's imagine reading a 1D (one day) chart; we know that each candle graphically represents what happened over the last 24h. Therefore, if the candle is colored red, this means that in the twenty-four hours the price has dropped, on the contrary, if the candle is colored green, it means that the price has gone up.

The height of the candle represents the change in unit price. When we read a red candle (which signals a price drop in the unit of time), the upper border indicates the opening price, and the lower one, the closing price of the session, and vice versa for a green candle.

In some cases, we can observe candles that are not colored and substantially resemble crosses. This type of candle indicates that the opening price was substantially identical to the closing price; the edges of these crosses

(directed upwards or downwards) graphically represent the price changes (maximum and minimum) that occurred during the session.

Let's take some practical examples and imagine that the price of 1BTC after starting from a price of \$10 at the opening touched a maximum of \$15 and then closed the session at \$12. How is all this represented by the candle?

Simple, in the meantime, we will have a green candle (because the price has risen), similar to a rectangle whose lower edge is positioned at \$10 (the opening) and the upper margin is positioned at \$12 (the close); from the upper margin. Then, we will see starting a straight line ("shadow") that reaches \$15.

As another example, let's imagine that the opening price is \$20 and the closing price is \$17, with the day's low at \$15 and the day's high at \$22; in this case, the candle will be red (session at a loss), the upper margin (opening price) will be positioned at \$20, from here the upper shadow (the straight line) will start, which represents the high of the day and will touch share \$22, while the lower margin of the candle (closing price) will settle at \$17, the level from which the lower shadow (always another straight line) will start and will reach the low of the day at \$15.

For the last example, a session that opens and closes at \$17, corresponding to the minimum of the day and with a maximum peak reached of \$20. In this case, the candle will look like a cross; it will not have any color because the opening and closing price coincide, and there will be no lower shadow because the day's low has never gone below the opening, but there will be a long upper shadow that it will extend up to \$20.

The Technical Analysis

The purpose of these rules is not just to allow you to make a profit, but rather to allow the trader to ease the psychological pressure to which he will inevitably be exposed until the moment he closes the operation, and to establish instead how to realize the profit, each operator is based on what is essentially a real "collection of signals."

The first question that every person inevitably asks themselves when they start trading is "what moves the price of a cryptocurrency?" Finding a good answer to this question already means you have taken the first step to

becoming a good trader. The price is mainly driven by two factors: the greed of the market and the news breaking into the market. These two factors, taken together, generate the price movements that allow us to make a profit.

When we begin to operate on a particular market, any news concerning it can trigger a bullish or bearish reaction in the price trend. There is news, such as the possibility of a hard fork or the release of a new version of the platform, which inevitably triggers the rise in prices. Other news, however, can do the exact opposite and sink the value of a coin. For example, the price of a crypto may fall if the news spreads that the official wallet of a certain currency is defective or that a certain cryptocurrency is about to be excluded (delisted) from a large platform.

If understanding how and why news moves the market is easy enough, it is more difficult to understand how the greed of operators causes price fluctuations. First of all, what we have to understand is that the price trend is never linear, but more resembles the waves as seen in the above candle charts.

When we begin to imagine the price trend as if it were a wave, we begin to frame two different trends: one short-term in which the price moves between minimums and maximums within what is called a "channel," and at the same time, we find a second trend in progress, more in the long term, which sees the price destined to increase or decrease.

There are several tools available to traders to recognize these trends in the price (some of which we will get to know later), but in principle, the dynamics we are witnessing are always the same. Since all traders pursue the same goal (making a profit) and all read the same chart at the same time, when certain conditions occur, all traders will click en masse to take advantage of the opportunity, and here, as mentioned, the greed of the market ends up moving the price.

However, this is also true on the contrary; the fears of the market can cause a wave of sales that can lead the individual trader to suffer significant losses. The ability to read the market trends through the price trend on a chart, and to recognize the moments of reversal (both short and long term) in the main trend, is all classified as "technical analysis." What the trader

does, in other words, is to use the tools at his disposal to define the trend of the trend and try to make a profit based on technical analysis.

The bad thing about technical analysis is that it is not an exact science, but more of a statistical calculation. None of the data we get from reading the charts ever gives us guarantees; although there are more relevant (and more reliable) signals than others, there are no 100% safe trading signals.

Moreover, every good trader naturally oscillates between a speculative approach and a more moderate one based on the investment. Consequently, for a complete operation on the market, technical analysis is not sufficient, but it is always necessary.

All the concepts we are exposing exist on every type of market; the graphs read the same way both on the forex and the cryptocurrency market, the technical analysis is the same whether you are investing in stocks or buying coins, and fundamental analysis is a concept that always exists.

When we buy shares, for example, the fundamental analysis consists of reading the financial statements of the company we are going to invest in; in the cryptocurrency market, the fundamental analysis is done by collecting information of a different nature. For now, let's focus on knowing some elementary tools that every trader normally uses in his daily practice to search for trading signals that allow him to make a profit.

Chapter 17: Tips for Currency Trading

Before you study a few "all-inclusive" technical indicators at the earliest opportunity and pick a well-known crypto-exchange (you can also utilize a troll box, but at the same time better without it), you should once become familiar with certain key principles of trading.

The list below is not comprehensive. However, for a beginner, these standards are sufficient because experience comes with time.

Begin Trading with Free Funds That You Are Not Afraid to Lose

It is smarter to store the main part of cryptocurrency savings not on a centralized trade but rather in a reliable wallet. These assets can be seen as a long-term investment.

Simultaneously, resources "frozen" on a crypto wallet can mean a lost short or medium-term benefit for a dealer since they are not involved in circulation. Thus, a portion of these assets can, in any case, be kept on a few cryptocurrency exchanges.

Try not to open a "full cutlet" position, and it will be very safe for beginners to practice little trades, every one of which can be restricted, state, 1–2 percent of the store. Slowly, with the acquisition of skills and self-assurance, this breaking point can be somewhat raised. If you can hardly wait to enter a higher percentage of the deposit, at that point, it is good to wait for the ideal moment for this — for instance, a good correction in the cost of a resource.

Try not to go to the bank for a loan to purchase cryptocurrency and "play" on the exchange. Try not to tune in to different well-wishers advising how they figured out how to "make 1000%" and quickly settle with the bank!

It is greatly improved and more secure to deposit some of your free assets now and then. For instance, calculate your budget so that, state, 5–10% of your monthly payment would be spent purchasing cryptocurrency to top up a deposit on a crypto exchange. Over the long term, it will also be possible to expand the deposit because of the steady recapitalization of benefits.

Try Not to Be Afraid to Lose Free Assets

First, you have allocated a crucial segment of your reserve funds for exchanging, haven't you? Second, even the best and most experienced traders at times make mistakes. Losses (and they can happen for different reasons: trade tricks, hacker attacks, token delisting, loss of private keys from a record on a decentralized site, and so forth) and delayed drawdowns should be seen as risks with a high probability. Also, they gain from their mistakes. If that achievement had not been replaced by failure, it most likely would not be so interesting.

As in the past, the cryptocurrency market is amazingly volatile and; one may even say, unpredictable. The capitalization of cryptocurrencies is exceptionally subject to different essential factors that immediately impact market members' feelings. Significant and not very informative on the crypto business can rapidly "duplicate by zero" even the specialized investigation formats from the most experienced participants. The effective market hypothesis is good, but you should also carefully investigate the central elements.

Be ready for the way that sometimes you will purchase an overvalued altcoin "on highs," and then you will wait for quite a long time until its value moves toward its former levels to at any rate "break-even."

The same bitcoin doesn't develop indefinitely, and very deep drawdowns happen. For instance, following the breakdown of Mt. Gox, the first cryptocurrency went into a protracted correction, where it remained for around two years.

In the chart, you can perceive how not long after arriving at values above \$ 1000, the value started to fall quickly. At that point, after trading halted in February 2014, the value drops accelerated much more. The recession went on for around two years, with a strong recovery starting in 2016.

The individuals who ended up being more patient and stronger in the soul than the others benefited in an extremely effective 2017 for cryptocurrencies. The individuals who sold bitcoins toward the finish of a year ago for \$ 19,000 and then bought them for \$ 6,000 a couple of months after the fact are most likely satisfied with the consequences of their

investment activities. Thus, at the hour of this writing, Bitcoin is trading at levels above \$ 8000.

Similar circumstances happened with "digital silver" — the Litecoin cryptocurrency, and different resources.

Try Not to Keep Eggs in the Same Basket

This easy, effective, and simultaneous principle of risk management the board is called broadening. The risk distribution using different resources, wallets, and trading platforms balance out the benefit of the cryptocurrency portfolio and ensures against the deficiency of everything simultaneously.

Thus, you should not get hung up on anybody's "too elegant" crypto-trade. Every one of them has its advantages and disadvantages, just as its arrangement of coins in the listing. For instance, Poloniex has a basic, intuitive interface and a genuinely rich collection of altcoins. Bitfinex has further developed investigation graphs from TradingView; however, associating with this trade can be hard for beginner brokers.

You need not get hung up on anybody's digital currency, whatever growth dynamics it might show. Remember: broadening decreases risk as well as increases investment returns.

Purchase Less Expensive and Sell More

When people go to the regular food market, they try to purchase acceptable quality vegetables at a relatively modest cost. Most individuals don't accept the costliest items available, not focusing on their newness and quality.

Getting on the trade, numerous newcomers to trading do the inverse. At seeing a diagram of a quickly developing resource, many are trying to "jump into the last vehicle of the departing train," whatever the cost. Simultaneously, they frequently don't consider how there is consistently a downturn after development and the other way around. By and large, after purchasing "on the highs," a beginner merchant will be disappointed — the value starts to decline sharply. Quick development is full of a strong fall in the cost of a resource.

A special case for opening a trade can be if, for instance, a procedure includes exchanging on a level breakout. However, beginners should follow

a simple rule from the start "bought cheaper, sold more costly." Regardless of whether you notice just this rule and stick to the elementary standards of risk management, you can get a pretty much stable benefit. It was not to no end that John Rockefeller once stated: "Purchase when blood is pouring in the city."

Numerous individuals purchase and sell by taking a look at the group and reading the trollbox. A successful trader should not follow the group but against it, selling a resource when the main part of not very experienced players is euphoric and keep on purchasing. Purchasing is better when the hamsters are simply starting to feel excruciating annoyance. All in all, consistently purchase from pessimists and sell to optimists.

Choose Liquid Cryptocurrencies

Numerous financial specialists suggest putting aside a significant portion of the crypto portfolio for bitcoin. This isn't only a tribute for the main cryptocurrency, and there is some logic behind it. First, Bitcoin is the most unpredictable, consistently growing crypto resource. In other words, the first cryptocurrency normally has a higher, sharpe proportion compared with most altcoins. Besides, numerous altcoins frequently lose value over the long term (particularly about bitcoin).

At this point, the assertion that bitcoin has "crazy volatility" has lost a portion of its prior relevance. Thus, toward the finish of a year ago, the daily volatility of bitcoin for quite a while was comparable to the range of fluctuations in oil costs and was lower than that of Twitter shares:

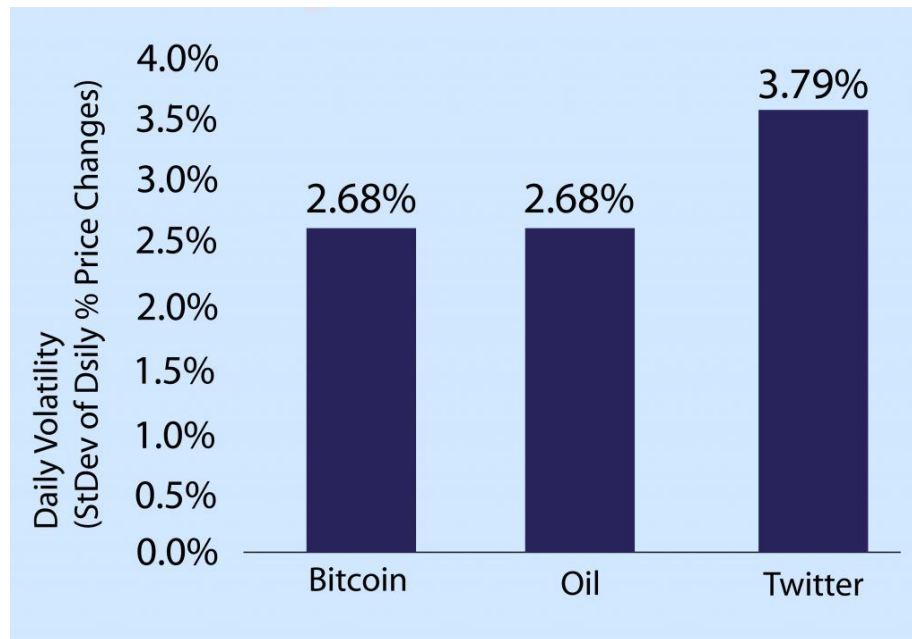


Chart: CoinDesk

In the following graph, you can consider that to be the interest for bitcoin develops, infrastructure creates, and its value rises, the digital currency's volatility also reduces. It is presently much lower than it was a couple of years back, and it's 30-day normal rarely exceeds the 5% level.

To finally be convinced of the generally low instability of the bitcoin value, you can compare it and fluid altcoins, including Litecoin and Ethereum (ETH). Moreover, as per the top of the CME Group, Terry Duffy, the mix of cryptocurrencies with the traditional financial market will help decrease their instability.

Another argument for highly liquid cryptocurrencies is that they are less presented to the risk of scams. Thus, when in doubt, there is a serious development group behind the top altcoins. They are also more willingly remembered for the listing of the biggest crypto exchanges, which pay, specifically, attention regarding capitalization, transaction volume, project reputation, and so on. Fluid altcoins draw in crypto investors from everywhere globally if simply because they are at the top of the ratings, for example, Coinmarketcap. Also, like this more frequently than other cryptocurrencies go over everybody's eyes.

Altcoins with high capitalization and high exchanging volume are considerably less susceptible to delisting risk and have moderately low instability. In addition to other things, such cryptocurrency as Ethereum, DASH, Litecoin, and so on, uphold numerous multicurrency crypto wallets, which means that traders won't need to think for quite a while about where to withdraw benefit from trading (or "wrap up the fishing rods" in time in the event of a risk to the exchange scam).

It is much more improved and significantly more charming to exchange what you know something about and the achievement of which you least uncertainty. The coin of a task on which active and productive work is being done has less risk of a sharp dump.

Try Not to Trust Someone Who Says That \$ 100 Is Sufficient to Get Rich on the Stock Exchange

The bigger the store, the more chances to actualize effective risk management. The less the deposit level falls on each different order, the less the risk of losing capital.

So, if you have at any rate two or three thousand dollars in your account, then you can put not 1–2 %, but rather twelve orders at once on different money pairs, without taking a chance with all methods. You can also place a few orders from various levels on a similar money pair.

You can figure the price movement of some coin that was purchased before for \$ 100 at the exceptionally base. Then again, with a negative result of events and a sharp dump, the measure of \$ 100 can rapidly evaporate. As referenced before, you shouldn't go all-in and bet everything on one "publicity" crypto resource. It is smarter to gradually capitalize benefits from little trades and develop a trading account. When the capital develops to a decent sum, then similar 1–2% of the store with a "traditionalist" 10–30% benefit from the transaction will bring substantial pay without fail.

In case you have just \$ 100, don't hurry to begin trading, save a little more money, or just put it "for quite a while" in bitcoin. On the stock trade, try not only to increase "cash with cash" but also just to keep what you have.

More Trades — More Benefit

This point covers the past from various perspectives. Try not to bet everything on one coin, exchange numerous crypto resources. If the benefit is imperceptible on little orders, don't stress; think of it as valuable training.

If you truly need to motivate yourself with the first tolerable benefit from trading, trade a few sets, attempting to make small but profitable trades all the more regularly. Along these lines, with a small capital, you will build the turnover of funds, which will positively affect financial outcomes. The development of capital is, in some cases, more significant than its size.

Chapter 18: The Future of Cryptocurrency

Many cryptocurrencies saw a lot of growth in recent years, with some like Bitcoin, Bitcoin Cash, Dash, and Ethereum seeing exponential growth. As we move forward, the cryptocurrency space will only keep growing. According to some industry experts, the coming year will see mass public awareness for cryptocurrencies. Here are some of the things expected to happen in the cryptocurrency world in the future:

Taxation Will Become a Huge Issue

While many people have amassed wealth in the cryptocurrency market, many have been keeping it away from the eyes of the government. In the coming years, you can expect that the IRS will be more focused on clamping down on cryptocurrency investors to make sure they pay their taxes.

Bitcoin to Develop Into a Payment Network

Though it was meant to be an electronic payments system, many people currently consider Bitcoin as a store of value and a speculative asset. However, according to Trevor Konek, CEO of a cryptocurrency technology company, Bitcoin's utility and price will increase dramatically, leading to its emergence as a fully-fledged payment network. This will be driven by the emergence of scaling solutions such as Lightning Network. However, for Bitcoin to become a fully-fledged payment network, its community needs to be willing to adopt these upgrades.

Cryptocurrencies Are Here to Stay

To some people, cryptocurrencies are a fad, something that will lose momentum as fast as it gained it. However, industry experts believe that cryptocurrencies and blockchain technology are here to stay. Some platforms like NEO and Ethereum will push for the widespread adoption of the technology since they help people create blockchain applications that have meaningful uses in the real world. The adoption of these real-world applications by the corporate world will increase the demand for cryptocurrencies and will therefore ensure their longevity.

Diversification of Assets by Investors

Currently, most investors hold their assets in Bitcoin and Ethereum. However, you can expect that more people will start diversifying their portfolios into other cryptocurrencies like Dash, Litecoin, IOTA, NEM, and many more. Many investors will diversify their cryptocurrency assets in the same way that they approach other traditional assets. Many more cryptocurrencies will also emerge in the coming years. Some will be introduced to tackle the challenges being experienced by existing cryptocurrencies, while others will introduce new niches altogether. There is a high likelihood that some of the new cryptocurrencies will become very profitable.

Increased Regulation

Currently, many countries do not have any policies for cryptocurrencies. However, several governments have been keenly watching their use and growth. As more people adopt cryptocurrencies, governments will start putting regulations in place surrounding their use.

Cryptocurrencies Will Force Conventional Financial Systems to Level Up

Currently, banks and traditional payment processors are enjoying extremely high transaction fees. They are also very slow, with most international transactions being processed in 1-3 days. Cryptocurrencies, on the other hand, are very fast and have extremely low processing fees. These advantages might push more businesses towards cryptocurrencies. If they are to remain relevant, banks and traditional payment processors will need to up their game.

Technological future

Cryptocurrency, as a concept, has a bright technological future. Increasingly powerful computers accompanied by an algorithm that is becoming easier to mine means that cryptocurrency will be less cumbersome to mine.

Performance of Fiat Currency

One of the main factors that have driven many people towards cryptocurrency is the instability of their fiat currencies. For example,

Zimbabwean Dollar has become worthless. The Venezuelan Bolivar has depreciated at such a high rate that it is hard to keep it as a store of value. When a given fiat currency becomes unstable, users become more willing to take up cryptocurrency. In most jurisdictions where the economy is overheating, to such an extent that they are facing hyperinflation, countries restrict the flow of foreign currency so that people cannot buy them. Since governments have no control over cryptocurrencies, they can become the available options for citizens to safeguard their monetary investment.

Part 4: More to Learn

Chapter 19: Altcoins: All Other Cryptocurrencies

Because Bitcoin was the first, every other form of cryptocurrency has been dubbed an altcoin or an alternative form of digital coinage. Yes, it's time to talk about the other guys. You're going to learn in what follows how to trade across multiple cryptocurrencies. You will also gain considerable insight into the altcoin community and be able to crowdfund and gamble using various cryptocurrencies if you are so inclined.

How to Evaluate Them All

Deciding which altcoin is "best" is like deciding on what kind of dessert to choose. How do you decide whether to cap off your meal with a luscious piece of melt-in-your-mouth cheesecake or a slice of scrumptious pie? Add in brownies a la mode, peach crisp, rich sorbet, Mediterranean baklava, flan, etc., and you have a dilemma of major proportions on your hands. It's an altcoin-sized challenge.

With any financial decision, there is a number of variables to consider. If you measure success by a sheer number of transactions processed per second, you would come up with a short-list that looks something like this (I've included Visa as a comparison to the "real" world of commerce):

- Visa 24,000
- Ripple 1,500
- PayPal 193
- Bitcoin Cash 60
- Litecoin 56
- Dash 48
- Ethereum 20
- Bitcoin 7

By this valuation, you'd be ahead to just use your credit card.

Instead of usage numbers, you might prefer to compare a coin's market share. Here's a recent snapshot of digital currency standings based on descending market capitalization:

- Bitcoin 107G

- Ethereum20G
- XRP17G
- Stellar4G
- LTC3G
- Cardano1.9G
- Monero1.6G
- Dash1.3G

The time elapsed before the next block is released will have a huge impact on how quickly you can transact business. Here's a recent snapshot, showing how long transactions took on average, in minutes:

- Bitcoin12.973
- Litecoin2.88
- Dash2.63
- ZCash2.496
- Monero1.96
- Dogecoin1.039
- Auroracoin0.876
- Ethereum0.237

By this measure, you'd go with anything but Bitcoin.

If you're thinking in terms of how much it will cost you to use these digital currencies, Bitcoin is by far and away the most expensive. Monero is less expensive but still can rack up considerable transaction fees over time. Everybody else charges next to nothing by comparison.

Today, multitudes of developers are hoping to create the next big splash in the cryptocurrency market; they dream of overtaking Bitcoin. In the past few years, thousands of altcoins have appeared on the scene. However, the majority disappear almost as quickly as they show up.

You'll want to watch out for "scam coins." Wherever you find legitimate financial opportunities, you'll also find unscrupulous vendors out to make a fast buck off of players who may not be alert to potential danger. Some scam coins amount to a "pump then dumps" scheme; they're introduced to turn a fast profit and then shut down. Other legitimate altcoins have been launched but were pulled quickly because of design flaws that showed up early in implementation. Any emerging form of digital coinage may have a

small chance of catching up with Bitcoin's standing in the market, but there is no shortage of contenders. Some of them have even gained considerable ground on the frontrunner.

With thousands of altcoins jostling for position in the market and many more under development at any given time, it's an impossible task to describe — let alone track — them all. Instead, this will review eight legitimate digital currencies that have emerged, just to showcase the diversity of products available. This is not an endorsement; you'll have to do your research to decide what altcoin best suits your needs at the moment.

Litecoin (LTC) — Improving on Bitcoin

When it first emerged in 2011, two years after Bitcoin appeared, the hype was all about Litecoin being “the silver to Bitcoin's gold.” While it has much to commend it as we shall see, the original altcoin is currently only one amid a plethora of possibilities.

Litecoin began its existence as a hived-off “fork” of Bitcoin. A major change in the way an algorithm works will call for the start of an entirely new entity. In this case, the “fork” became known as Litecoin because at first glance it appears to be nothing more than a lightweight version of Bitcoin. However, this altcoin has some major advantages over its parent:

- Its speed blows Bitcoin out of the water. Instead of waiting 10 minutes for transaction confirmation, Litecoin does it in 2.5 minutes. This is a huge boost for retailers. However, as we've seen already, the standard for block release time is now reduced to a few seconds, so this is only an advantage when we're comparing it to Bitcoin.
- Litecoin pioneered the use of the Scrypt hashing algorithm. This is also an advantage over Bitcoin that doesn't hold in comparison with other alternatives.
- Litecoin was the first crypto coin to adopt SegWit, a security feature that “segregates” the “witnesses” and removes them from the blockchain. This allows for faster block processing and greater overall security. Now that Bitcoin and other altcoins are adopting SegWit in their various iterations, this is also less of an advantage.

- It's popular in China. The Chinese comprise one of the world's largest market blocks, so its massive acceptance among these people offers a huge advantage to future growth.
- It's less volatile than Bitcoin. Litecoin is less apt to be affected by market corrections.
- It has a greater number of potential coins. Litecoin has a capacity of 84 million coins, compared to Bitcoin's 21 million.

Litecoin has remained relevant. It now boasts a loyal, committed community that continues to grow rapidly.

The majority of Litecoin's success, apart from its processing speed, comes from its consistent presence at every cryptocurrency exchange. Litecoin these days can be traded on most cryptocurrency exchanges available today. In addition, several payment processors now include Litecoin and provide their community with ways to spend Litecoin along with Bitcoin.

Dogecoin (DOGE) — Unlimited Supply

In 2013, when Dogecoin launched, it appeared to be a “meme” coin, because its image was portrayed in cartoon style. This altcoin has no cap on its currency. As long as miners are willing to work at it, new dogecoin will be added. Because it lacks a cap on supply, Dogecoin was never expected to rise to the status of a major cryptocurrency.

However, it shines by sheer speed and a number of transactions completed. Its ease of use has led to this altcoin being offered as awards in online competitions, used to purchase currency in online games, and to tip service providers. Dogecoin is proud of its roots as a community cryptocurrency; the efforts of the combined community have raised funds for several beneficial causes.

Dash (DASH) — Anonymity

As you've been reading this book, you've probably noticed that anonymity is big in this field. Bitcoin is unable to offer complete anonymity, but it does offer pseudonymity. Users are able to hide their identity with their wallet addresses. Yet this weakness, the lack of true anonymity, has fueled many developers to invent alternative solutions to the problem.

While the current leader of anonymity at the moment is Monero, plenty of anonymous altcoins also exist. These include Zcash, PIVX, Komodo, Zcoin, NAV Coin, ZenCash, and Verge, to name a few. Another solution to offer greater anonymity than Bitcoin is Dash.

When it burst upon the scene in 2014 under the name Darkcoin, Dash was a leader in providing anonymity. The main developer of Dash, Evan Duffield, offered several solutions to give users complete anonymity and to provide for anonymous transactions. Dash is still a popular anonymous altcoin.

Ripple (XRP) – Banking On... Banks

Most cryptocurrencies are built upon decentralization. However, Ripple — created and maintained by Ripple Labs, Inc. — has been partnering with banking institutions since its emergence in 2012. Banks love Ripple because transactions are fast, it can handle all the traffic you want to hand it (at peak times processing as many transactions per second as Visa), and the platform has performed flawlessly from day one, balancing its open ledgers with nary a hiccup.

Peercoin (PPC) — Proof of Stake Transactions

Bitcoin and Litecoin share one characteristic in common: the only way new coins can be generated is through mining. Peercoin, an early Bitcoin clone, offered a new way to release coins known as “proof-of-stake transactions.” The proof-of-stake determination occurs when a user holds — or holds onto — coins in their wallets for a period of time without spending anything.

With Peercoin, as the coins reach a certain age, they will have amassed a small amount of interest, which is returned to the owner of the original peercoins. The whole process is the same as with a bank savings account, except that it remains decentralized, with users remaining in full control of their funds at all times.

When you go through the process of making more peercoins, using proof-of-stake determination, you are increasing the stability of the platform while decreasing the number of miners required to keep everything running. There will always be users wanting to stake their peercoins. In addition, the developers of Peercoin have been able to steadily apply 1% inflation each year with no coin cap in place.

StartCOIN (START) — For Crowdfunding

StartCOIN is reward-based, established on the crowdfunding model. This coin allows users to pledge to share and hold StartCOIN on the website. Coins are rewarded for various activities.

Crowdfunding has gained huge popularity. StartCOIN has taken full advantage of this trend, encouraging communities to fund various concepts, ideas, and projects. Users who give or receive funding through the website also receive rewards in the form of additional StartCOINs. Still, this altcoin is a newcomer, so little history is available and its future trajectory is unknown.

NXT (NXT) — Coin Without Mining

NXT uses the proof-of-stake protocol to arrive at transaction consensus; almost everyone else relies on mining. As a rare cryptocurrency that operates entirely without mining, all of the coins were distributed when NXT was launched. With a steady stream of coins readily available, this introduced a new type of ecosystem into the cryptocurrency world.

The altcoin is also unique in that a user can create their cryptocurrencies within the NXT environment. Any newly titled coins have the full backing of NXT and can be disbursed in multiple ways.

NXT has also introduced features that provide an arbitrary messaging service, the governance of smart contracts, and a decentralized peer-to-peer exchange known as MultiGateWay.

CasinoCoin (CSC)

CasinoCoin, launched in 2013, is receiving kudos for operating faithfully within its charter. As the moniker suggests, the coin is closely related to the casino business. It is swiftly growing in acceptance across the online gambling industry.

The coin operates under a modified form of the Ripple code based on a Scrypt algorithm. It is widely trusted by banks worldwide, thanks to its excellent translation pipeline connected to traditional financial institutions. CasinoCoin is also in the process of developing features to combat money laundering and minimize gambling abuse.

Chapter 20: Crypto Art

Crypto is all about decentralization. It is a type of technology that is slowly making its way into our daily lives. And what is decentralized technology? Well, the answer to that question can be quite complex. But we can take a look at it as something that has no central authority or governing body. In other words, it's a type of technology that is owned by the people and not a company or organization.

With this in mind, we can easily see how the concept of NFTs makes sense within the realm of crypto. If you're new to the crypto space, you may have no idea what NFTs are.

What Is Crypto Art?

In short, Crypto Art is the intersection of the blockchain space and the art world. In a more technical sense, it's a form of digital asset that is unique and can be bought and sold on various crypto exchanges.

The first example of crypto art is CryptoKitties. These digital cats can be bought and sold, and they are limited in number. However, there are no specific parameters that govern the creation of these kitties. Each one is unique and can be owned by an individual or a group of people.

These digital assets are similar to stocks in that they have ownership and value, but they're also unique in that no set algorithm determines how many there will be or how they will be created. There are no centralized rules, regulations, or governing bodies governing the creation of these kitties.

Today, digital artists from all around the world are creating unique crypto art. In the future, this will be one of the most exciting industries in the blockchain space. There are many platforms such as OpenSea and RareBits that allow you to buy and sell digital art.

How Do You Transact in NFTs?

Crypto art is still in its infancy, but that doesn't mean that there aren't ways to buy and sell it. Many people use decentralized exchanges to buy and sell

digital art. These exchanges work similarly to stock exchanges, but they have a much more unique and fluid-structure.

Many people also use crypto art as a form of investment. They see it as a way to make money, but they also see it as an opportunity to support artists around the world. These artists are creating beautiful works of art that are being bought and sold every day. Some pieces of crypto art have even sold for millions of dollars! It's an exciting time for crypto art, and we can only expect more from this exciting industry in the future.

These are the most popular Crypto art marketplaces:

1. OpenSea

OpenSea is a decentralized marketplace for blockchain-based assets. It's the first marketplace that was created for crypto art.

The company was founded in 2017 by an experienced team of blockchain developers and entrepreneurs. The company is based in San Francisco, California, and is a part of the Boost VC accelerator program.

2. RareBits

RareBits is a decentralized exchange for buying and selling digital art and collectibles. The company has been around since 2015, and it's based in Vancouver, Canada. It's also a part of the Boost VC accelerator program.

The company has attracted over 100 different sellers from all around the world to sell their digital art on its platform. Some of these artists have sold their works for over \$1 million! In addition to this, there are over 1,000 different assets on the platform from artists all around the world!

3. RarePepe

RarePepe is a decentralized exchange for buying and selling rare Pepe memes. It's one of the most popular and exciting exchanges in the crypto space. It was founded in 2017 by Joe Looney, who was a member of the first graduating class of Boost VC. The company is based in San Francisco, California.

Crypto art is one of the most exciting developments in the blockchain space. We're still very early on in this industry, but it's only going to get

bigger and better as time goes on. In fact, we can expect many more companies to create platforms that will allow you to buy and sell digital art online. It's an exciting time for the blockchain space.

Chapter 21: The Future of Bitcoin

No one can predict the future and what it may bring. However, the future for bitcoin does appear to be solid. I do predict — in the same vein as most money experts — that Bitcoin will continue to grow, mature, and develop, driving increased acceptance of the decentralization model. Some predict the value of Bitcoin will hit \$100,000 in the next few years; this adds even more substance to its prospects.

Energy Futures

Bitcoin will need to overcome several obstacles to enjoy continued growth and ongoing viability. One of these obstacles involves the huge amount of energy required needed to keep Bitcoin running. Bitcoin in its current incarnation is extremely inefficient when it comes to energy use. In fact, energy consumption is what could eventually derail the entire operation.

If there are currently 10,000 Bitcoin nodes working to verify transactions, imagine how much energy will be required when the number doubles! Research has shown that just one Bitcoin transaction requires enough energy to power an entire house for 24 hours. Many individual miners and node verifiers have decided not to join the network in these roles since it would be far too costly for them. Can Bitcoin continue to exist without miners? We simply don't know.

One of the proposed solutions is to alter the protocols so not all nodes will be required to verify a transaction. Yet, this strikes at the core of decentralization and could ultimately endanger the entire system's security, leaving it open to the risk of double-spending.

A likely strategy would be to offer nodes incentives to use solar power or other forms of renewable energy. Renewable energy is far cheaper than that derived from fossil fuels. It requires very little, except for the installation of the necessary equipment. One single windmill could power a large mining farm with few costs beyond the initial mounting of the windmill. Where you find enough sunshine, solar panels will produce all sorts of free energy. Incentivizing alternative energy use could provide plenty of power for the existing equipment and reduce its carbon footprint.

Taxation

Another challenge is how various governments will tax or otherwise regulate bitcoin. In the United States, the IRS has declared Bitcoin an asset, so it will be taxed as such. However, since users can send and receive Bitcoin as a currency, this raises other questions. When employees receive their paycheck in bitcoin, will it be subject to payroll taxes? If so, what will determine its rate in dollars? These and other issues will be resolved, eventually, but right now, it's too early to guess what the future will look like.

When you look at the high volatility of Bitcoin's value against the dollar, this will not be an easy task. The value of Bitcoin changes by the minute, in some instances by the second. In addition, how will the IRS calculate payroll tax when Bitcoin is currently not recognized as an actual currency?

Legalities

Bitcoin presents several puzzles for court systems around the globe. The anonymity Bitcoin provides can prevent some individuals from being identified and prosecuted. Yet, even anonymity is not an insurmountable obstacle. Bitcoin-related Ponzi schemes have already been prosecuted under fraud and money laundering charges.

There are few examples at this point to show how Bitcoin will be handled in a court of law. In the United States, the IRS does not currently view Bitcoin as a currency; if a dispute were to arise surrounding Bitcoin, what would be the court's stance? We don't know since few precedents exist. In a perfect world, a team of Bitcoin developers would work with law experts to establish Bitcoin's legal standing.

Fraud

At the same time, fraud in its various forms has plenty of precedents in US courts. The Commodity Futures Trading Commission (CFTC) ruled in November, 2018, against a hedge fund built around bitcoin. It turns out the defendant was running a Ponzi scheme.

A class-action lawsuit was filed in December, 2018, in California against a Chinese mining company. The defendant is accused of using the devices it

sold to customers to mine cryptocurrencies for itself while charging the customers for the energy usage.

Additional cases have been successful against individuals who default on bitcoin-based loans

Identifying Lawbreakers

How to provide anonymity while making it possible to identify individuals who are breaking the law is another contentious issue. This one, however, strikes at the very core of Bitcore's underlying philosophy. There are fears that in the future, bitcoin users will be required to register themselves. This would destroy entirely the very anonymity that makes the system so attractive. But that's all to be determined in the future.

Acceptance Rates in America

At this writing, only about six US states are openly opposed to cryptocurrencies. Currently, Connecticut, Georgia, Hawaii, Oklahoma, Washington, and West Virginia have either outlawed or heavily regulated their use. For example, a law was passed in New York that requires businesses to acquire a BitLicense if they wish to receive payments in bitcoin. The cost of applying for a BitLicense is so high, however, that many companies have given up altogether the idea of accepting bitcoin payments.

American states vary wildly in their attitude toward cryptocurrencies. As of this writing, the following states have declared their acceptance of cryptocurrencies:

- Colorado
- Delaware
- Florida
- Illinois
- Kansas
- Montana
- Nevada
- New Hampshire
- New Jersey
- Texas

- Utah
- Vermont
- Virginia
- Wyoming

These states have either officially declined to regulate Bitcoin and its companions, or have legislated favorably toward its use.

The remaining American states are either undecided or are in the process of formulating legislation. It's unclear at this point whether they will be friendly or opposed to cryptocurrency transactions.

International Regulatory Threats

We also don't know what forms of regulation will be placed on bitcoin, as efforts to regulate it are on the increase. Depending on where you live and with which countries you perform your bitcoin transactions, you may have nothing to worry about for now, but watch out. As bitcoin continues to grow in popularity and economic impact, governments over the world can be expected to want a piece of the profits. You can expect to see changes in the future.

In countries such as the UK, Japan, and the European Union, banks like Barclays and some government-run businesses have begun to accept bitcoin. While this seems to be an acceptance of the cryptocurrency, some are concerned that this may be an underhanded attempt to regulate — or outright own — bitcoin. If governments start to accept bitcoin payments, they could then bring laws into place to enforce how Bitcoin operates. As the future unfolds, how will Bitcoin continue its growth and avoid becoming a pawn of the governments where they do business?

International Legitimacy

If a government is willing to receive Bitcoin payments, will it more easily implement and enforce regulatory measures? It's too early to know how regulation will affect Bitcoin's economy. Only time will tell if Bitcoin can survive widespread regulation, if and when it occurs.

Bitcoin — The Next Gold?

Gold was originally considered the international trading standard. Instead of bartering for other goods, gold was the common denominator. Today Bitcoin has the potential to be the next overall standard of exchange, particularly since it has no connection to any single currency and is accepted across international borders. Bitcoin is a new type of commodity that carries many of the attributes found in the gold standard.

Gold does not derive its value from what a government says it is worth; rather, its value is based on what those using it say it is worth. Governments can assign it a value, but this value is subject to market fluctuations, all of which are based upon supply and demand.

While a dollar figure can be attached to bitcoin, its true worth is determined by the people who use it. Any dollar figure is simply an arbitrary representation of how much one entity thinks it is worth. Its actual worth is determined by what individuals are prepared to pay for it.

When we look at things this way, there is no doubt that bitcoin can be the next form of gold, especially since it is not tied to any single currency. Plus, it's accepted across international borders. Bitcoin is a new form of commodity with the very traits needed for it to serve as the new gold standard.

Fresh Values for a New Age

This issue is not based on the fact that gold is an asset you can actually feel. Bitcoin possesses a trait known as social capital. This refers to the power derived from individuals who adhere commonly to a certain set of values. Bitcoin goes beyond its existence as a form of currency; it is a movement. It's a movement against large financial institutions. It stands in opposition to tendencies by big government, to cripple and simultaneously take over financial markets.

Now is the time the people can take back the power that was yielded by large organizations that centralized their services, gained a monopoly, and then set prices at their whim. Bitcoin's decentralized, open ledger system amounts to a movement, one that is gaining momentum daily.

Bitcoin will go on maturing and expanding in influence. It is already responsible for a revolution in computer technology by challenging existing

hardware to perform ever more powerful calculations and by developing even more effective algorithms to solve critical challenges.

Regardless of Bitcoin's dollar value, its true worth lies within the movement it birthed to restore individual democratic control through decentralized transactions. This is where its true worth lies and will continue, on into the future.

Conclusion

Cryptocurrency is a standard method of payment slowly but gradually.

Given the heightened interest in crypto, the economy, in terms of the decentralized digital currency, is not in charge of the U.S. administration in the manner of the dollar. Any analysts, therefore, conclude that crypto is a danger to central and national banks.

Therefore, why should anyone gamble investing in a government-unregulated currency and endangered by digital potentials?

Looking at the facts, it's a common subject for Cryptocurrencies. This is a very critical phenomenon. Investing in this innovative scheme means wagering on our road to potential presidents. Investment developer returns and the potential to handle the money details are being introduced by cryptocurrency and blockchain technologies.

Cryptocurrencies and blockchain technology are a simple way to produce fantastic returns and improved liquidity, in particular, because multi-currency sales may be made. Also, it allows the effective transfer of data to reach the database without the need for a third party.

Each transaction in cryptocurrency is a unique exchange between two parties that protects users against identity theft issues.

"Because of the technologies behind them, blockchain, cryptocurrencies can do this." "The infrastructure of Blockchain is decentralized. It means that no one has central power over anybody, organization, or administration. Instead, it is a regulated network. Policies are hardcoded and cannot be manipulated according to schedules."

Rather than banks or other money trading networks being able to access the internet on a global basis. This unlocks the chance for the poor to lend.

For this cause, Swanepoel proposed that crypto could be the secret to eradicating world poverty and corruption.

"Uniquely set on a scientific and financial apex, cryptocurrencies. It has been hailed as a future social game-changer, ready to end corruption, bank

the unbanked, and redistribute assets in an equal, fairer way."

The business encountered "many individuals who came through crypt first because of its ability to help create a sustainable world" through Luna's Penny drop campaign, which shares the experiences of everyday citizens who use cryptocurrency. "We have the strong confidence that it would be used for good if it was to grasp something in the simple architecture of blockchain ... or whether it could affect a more specific level."

Now is the case with the blockchain. When the world experienced the rapid spectacular rise and the resulting collapse and continuous growth of Bitcoin between 2017 and 2019, the currency became an issue of concern. Interest and education were inspired. Today, as some people know, bitcoin has become a more daily standard.

Digital era money is cryptocurrency. It uses technology to blend effortlessly with the new ecosystem. It uses technology. It is born into the internet and can work with other technology, "Swanepoel said. Swanepoel said. A pad in a quadratic hole. Not currency, as we now know it — a square hole round, designed and constructed for the analog period."

Similarly, Malan Capital Co-founder and President, David Tail, said that technology has "given every business field a great deal of upheaval and destruction."

Today, technology steps into the way money are used in the world.

"To make financial services worldwide the next inevitable and rational step," "Once upon a time, stock shares were physically exchanged and now fully electronically. Currency must also be global and interactive."

Even if you are not an enormous crypto buff, you undoubtedly learned about Bitcoin's mania around Christmas 2017. Bitcoin soared in terms of valuation, hitting nearly \$20,000 a penny. It was the most significant financial investment ever. Since then, Bitcoin's valuation compared to the dollar has declined, but crypto bulls claim it will increase its success in 2017 and take over most of the crypto sector.

More than ever, investors — both people and institutions — have a kind of crypto. This includes very public skeptics such as Jamie Demon, JPMorgan

Chase Chief Executive Officer. The Chicago Mercantile Exchange (CME) supplies Bitcoin's Futures options, offering the mainstream sustainability it has not had before its 2017 launch. The crypto market is characterized by an enormous potential investment in growth: improved exposure and meaning, a relatively low market cap in contrast with the mainstream asset classes, and a steady rise in utility.